



Banking Sector Roundup - 9M FY25

FEBRUARY 2025

Glossary: Classification of Indian banks used in this document

PSU (12 banks)



Private—New (10 banks)



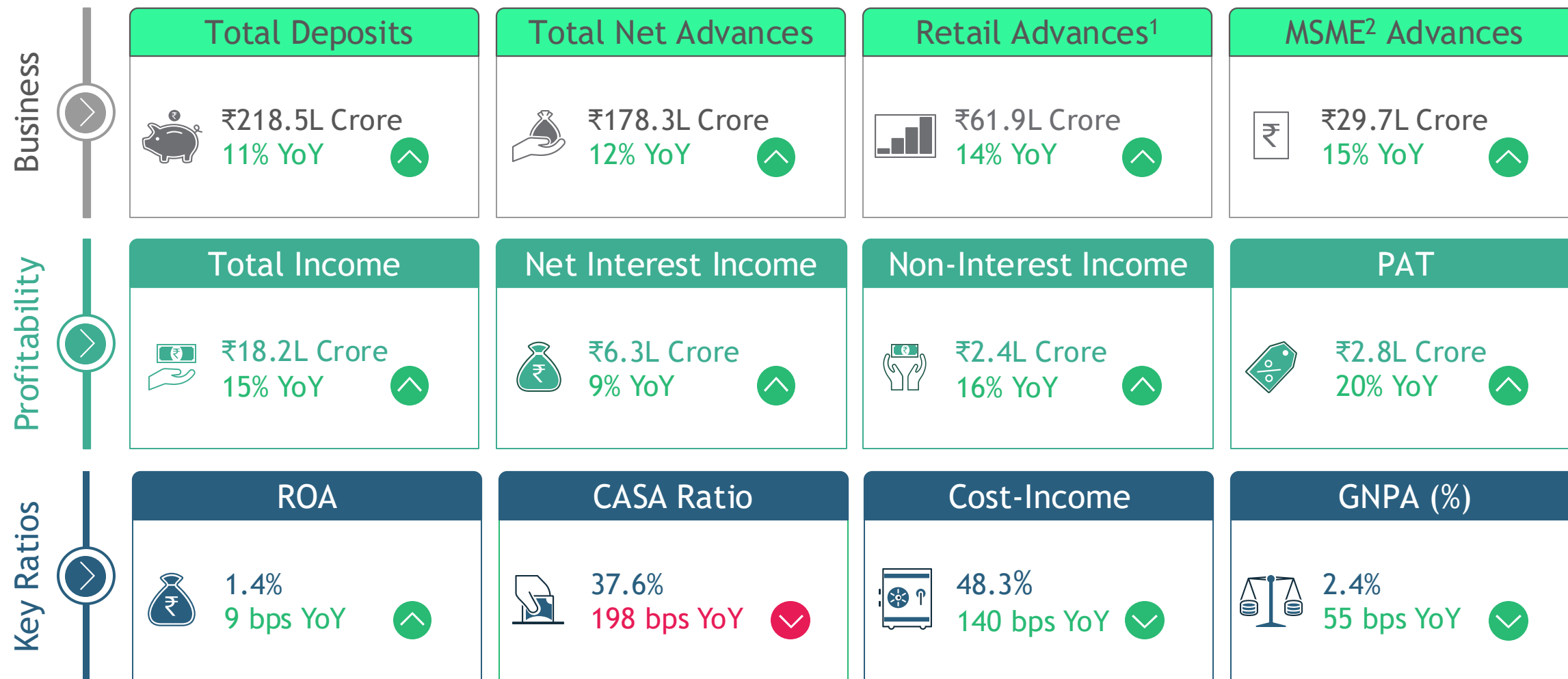
Private—Old (10 banks)



Small Finance (4 banks)



9MFY25 results: Banking industry snapshot



1. Retail loans include home loans, auto loans, personal loans, and other retail loans. 2. MSME includes SME, LAP, Business Banking, and CV/CE loans
 Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks
 Source: Capitaline, Financial Results, Investor Presentation; BCG analysis

Summary Snapshot (I/II)



Macro Trends

- **Economic growth:** GDP forecast for FY25 between 6.3-6.8% YoY; RBI projects GDP growth at 6.7% for FY26
 - Most forecast for FY25 were revised downwards amid economic uncertainties from 6.7-7.2% to 6.3-6.8%
- **Economic landscape exhibits mixed trends**
 - Industrial growth strengthens with rising steel & cement output, while auto sales see moderate growth amid weak demand year-on-year
 - Services exports saw strong growth rise while service imports rise sharply



Key Performance Indicators

- **Profitability:** Banking industry reported 20% YoY growth in Net Profit
 - PSU bank's PAT grew by 32% YoY, driven by decline in provisions, reduced operating expenses and surge in non-interest income
 - Private banks reported 12% YoY growth in PAT, driven by controlled growth in operating expenses
 - SFB PAT declined by 13% YoY amid rising credit costs
- **Operational efficiency:** CIR improved across the board, decreasing by 140 bps to 48.3% for the industry
- **Capital Adequacy:** All banks¹ have CRAR >13% signaling resilience in their risk management capabilities

Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks.

1. Universal banks

Summary Snapshot (II/II)



Business

- **Credit:** Declining credit growth: 12% YoY in 9M FY25
 - YoY Growth - Retail: 14%, Agri: 12%, MSME: 15%, Corporate: 9%
 - CD ratio at 82%, indicating potential stress in funding availability going forward
- **Deposits:** Grew 11% YoY in 9M FY25
 - Industry CASA Ratio: 38%
 - YoY Growth - CASA: 6%, TD: 15%



NPA & Risk Mgmt.

- **Decline in GNPA:** Improvement in asset quality, from 3.0% in 9M FY24 to 2.4% in 9M FY25
 - PSBs: 2.9% (3.7% in 9M FY24); Pvt Banks: 1.9% (2.0% in 9M FY24)
- **Provisioning and risk preparedness:** PSBs reported 8% decrease in provisions while Private Banks increased provisions by 25%



Digital & Payments

- **Digital Payments:**
 - UPI continues to drive significant volumes in payment and grew by 44% YoY
 - Debit card transactions declined 30% in volume and 17% in value YoY

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures

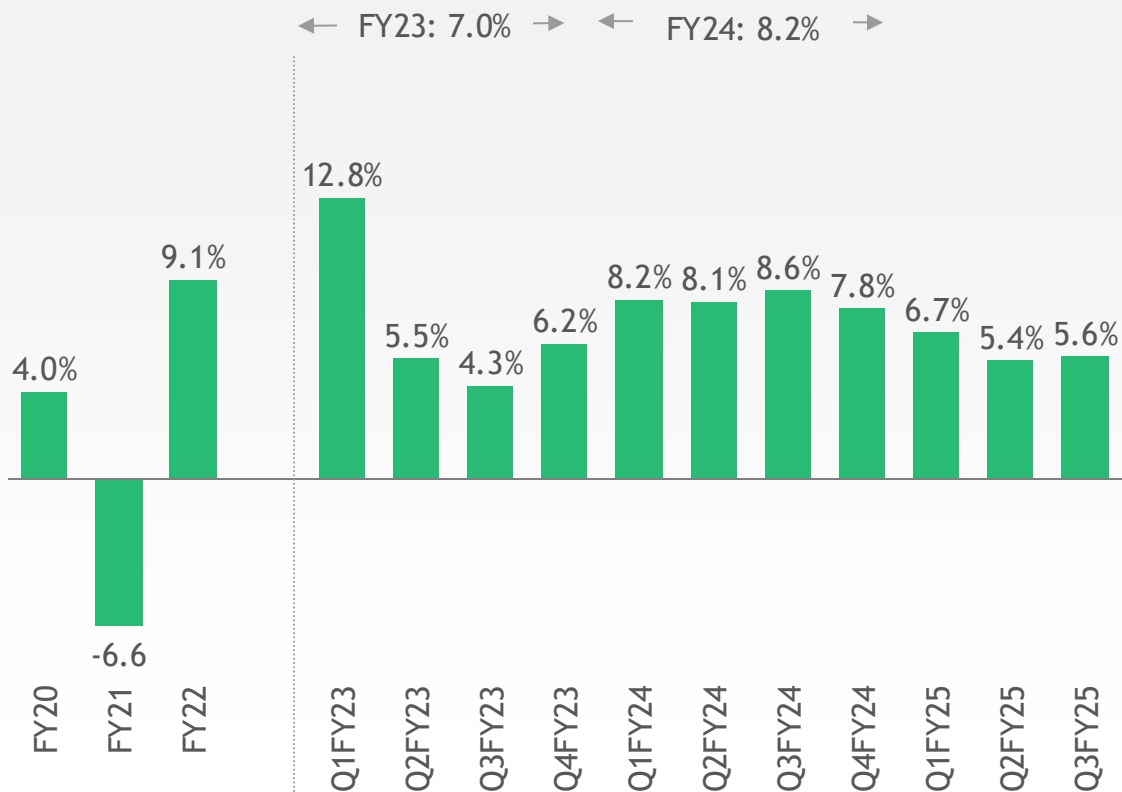


Individual Player Performance

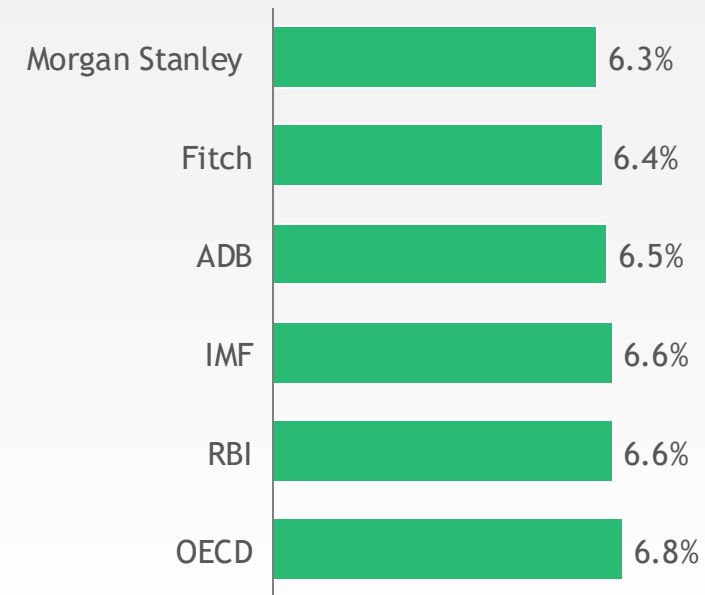


India's growth outlook: 6.3-6.8% in FY25 amid economic uncertainties; RBI projects GDP growth at 6.7% for FY26

Trend in real GDP growth YoY (%)ss



FY25 GDP growth forecast²



6.3-6.8%

1. GDP growth for FY25 and Q3 FY25 are based on provisional estimates; 2: Forecast are likely to be revised further

Note: Upper-limit has been included where agencies reported forecast range. Latest forecasts considered in case of revision by agency within same month;

Source: Analyst reports, BCG analysis



Economic landscape continued to exhibit mixed trends across most high-frequency indicators vs last year

	Latest Month	Vs. Last year		Vs. Last month	
	Dec'24	Dec'23	YoY	Nov'24	MoM
Industry 					
IIP (Index) ¹	148.4	141.1	5%	149.9	-1%
Power Consumption ('000 MUs)	4.2	3.9	6%	4.15	1%
Petroleum Consumption (MMT)	20.7	20.0	3%	20.43	1%
Steel Consumption (MMT)	13.2	11.7	13%	12.3	8%
Cement Production (MT) ¹	34.1	30.3	12%	35.9	-5%
Trade & Investment 					
Merchandise Exports (\$ Bn)	38.0	38.5	-1%	32.1	18%
Merchandise Imports (\$ Bn)	60.0	58.3	3%	63.9	-6%
Services Exports (\$ Bn)	32.7	27.9	17%	35.7	-8%
Services Imports (\$ Bn)	17.5	13.3	32%	17.7	-1%
Logistics 					
E-way Bills (Mn)	112.0	95.3	18%	101.8	10%
JNPT Traffic ('000 TEUs)	638.4	575.7	11%	596.8	7%
Rail Freight (Mn Tons) ²	120.6	128.0	-5%	129.7	-7%
Air Freight (K Tons) ¹	291.9	269.3	8%	334.3	-13%

	Latest Month	Vs. Last year		Vs. Last month	
	Dec'24	Dec'23	YoY	Nov'24	MoM
Auto 					
PV Sales ('000 Units)	315.8	287.1	10%	347.0	-9%
3W Registrations ('000 Units)	47.2	46.7	1%	62.5	-25%
2W Sales ('000 Units)	1481	1500	-1%	1967	-25%
EV Registrations ('000 Units)	95.4	92.6	3%	146.5	-34%
BFSI 					
UPI Value (INR Tn)	23.24	18.2	27%	21.6	8%
NSE & BSE Txns. (INR K Cr)	2325.7	2273.5	2%	2036.5	14%
Insurance Premium (INR K Cr)	55.2	63.7	-13%	47	18%
Sentiment 					
Manufacturing PMI (Index)	56.4	54.9	3%	56.5	0%
Services PMI (Index)	59.3	59	1%	58.4	2%
Current Situation Index ¹	94	92.2	2%	94	2%
Future Expectations Index ¹	121.9	120.6	1%	121.9	0%

1. Data available only up to Nov'24; 2. Railway Freight data is available till Aug'24

Note: EV registrations incl. E-bus, E-car, electric 3W, electric 2W, electric 3W cargo sales, others
Source: DBIE, NPCI, IRDAI, AMFI, GIC, Life Insurance Council of India, BCG analysis

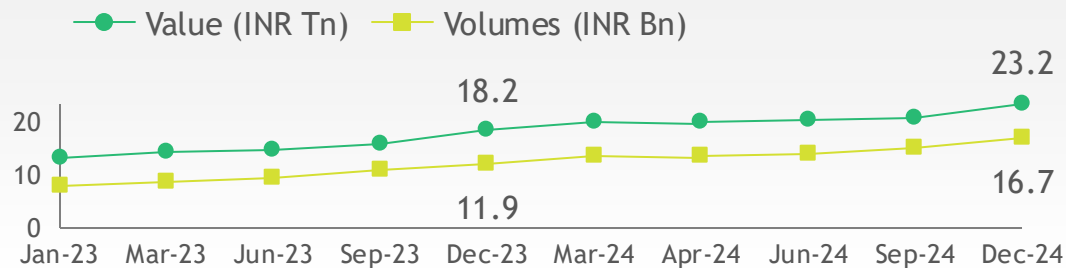


BFSI indicators exhibited mixed trends

UPI transactions and mutual funds continued their upward trajectory; Insurance premium faced a decline

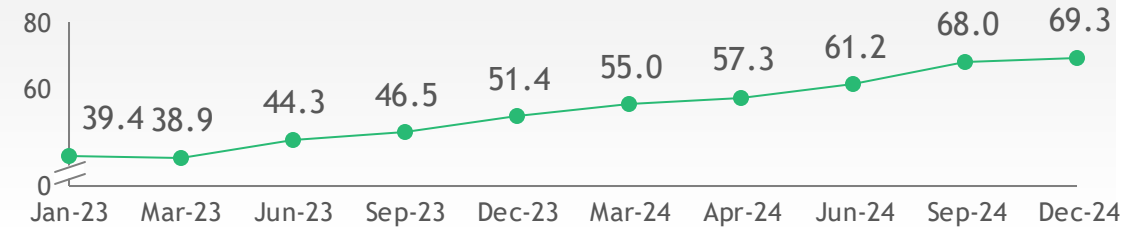
UPI

UPI value & volume rose 27% and 40% YoY in Dec'24 respectively



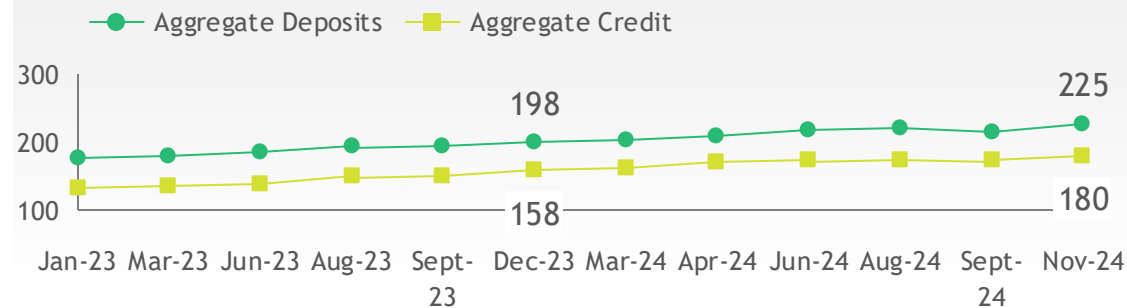
Mutual funds AUM (INR Tn)

Mutual funds AUM reached all time high, growth of 35% YoY



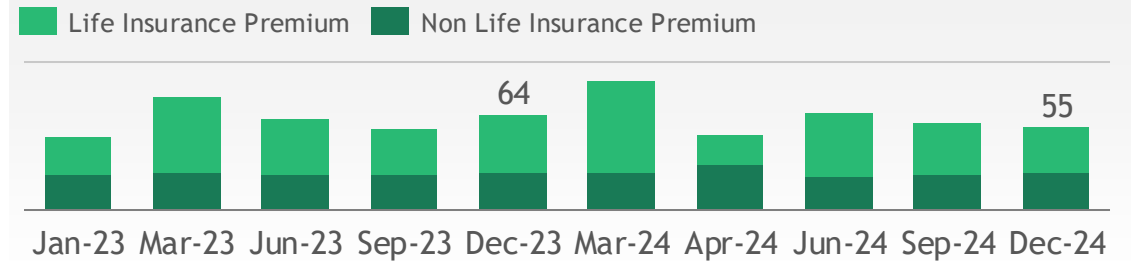
Aggregate deposits & credit (INR Tn)

Deposits and Credit both grew at 14% YoY



Insurance premium (INR '000 Cr)

Life Insurance premium declined 14% YoY in Dec'24



1. Mutual funds Assets Under Management (AUM) represented as recorded at end of every month shown. Mutual Funds AUM include investments from individuals (50.5%) & institutions (49.5%); institutions include domestic and foreign institutions and banks; 2. Aggregate deposits & credit latest available for Nov'24 3. Non-Life Insurance includes Fire, Marine, Motor, Engineering, Health, Cop Insurance, Credit Guarantee, Aviation, Personnel accident and Miscellaneous
Source: DBIE, NPCI, IRDAI, AMFI, GIC, Life Insurance Council of India, BCG analysis

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures

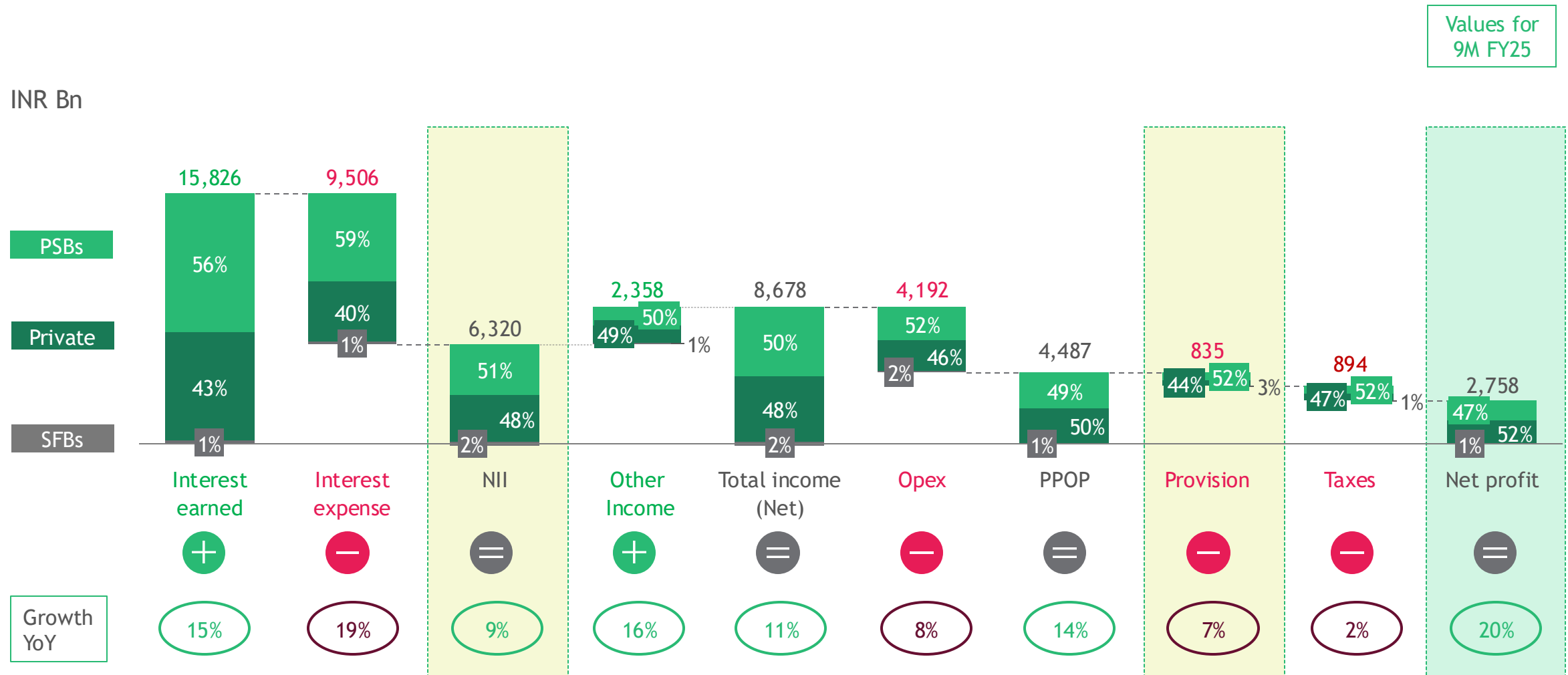


Individual Player Performance



Overall profitability grew 20% YoY led by lower provisions & operating expenses

Private Banks witnessed higher PAT than PSBs due to higher margins





Industry ROA improves despite NIM contraction

PSU banks lead ROA growth, while SFBs face profitability pressures amid rising credit costs

RoA Tree			PSU Banks		Private New		Private Old		SFBs		Industry	
Particulars ¹	UoM		9MFY25	9MFY24	9MFY25	9MFY24	9MFY25	9MFY24	9MFY25	9MFY24	9MFY25	9MFY24
Net interest Margin	(%)		2.7	2.8	3.9	4.1	3.5	3.3	7.2	7.2	3.2	3.3
Fee + Other Income	(%)		1.0	0.9	1.5	1.5	1.3	1.1	1.9	1.9	1.1	1.1
Operating expenses	(%)		1.8	1.9	2.5	2.6	2.6	2.4	5.5	5.6	2.1	2.2
Pre-Provision Profit ²	(%)		1.9	1.8	2.9	3.0	2.1	2.0	3.6	3.5	2.2	2.2
Credit costs	(%)		0.4	0.4	0.5	0.5	0.3	0.3	1.6	0.6	0.4	0.4
Tax ³	(%)		0.4	0.4	0.5	0.6	0.5	0.4	0.5	0.7	0.4	0.5
Return on Assets	(%)		1.1	1.0	1.9	1.9	1.4	1.3	1.5	2.2	1.4	1.3

1. All the above #s are as a % of average assets; 2. Figures may not tally due to rounding off differences; 3. Includes exceptional items, if any

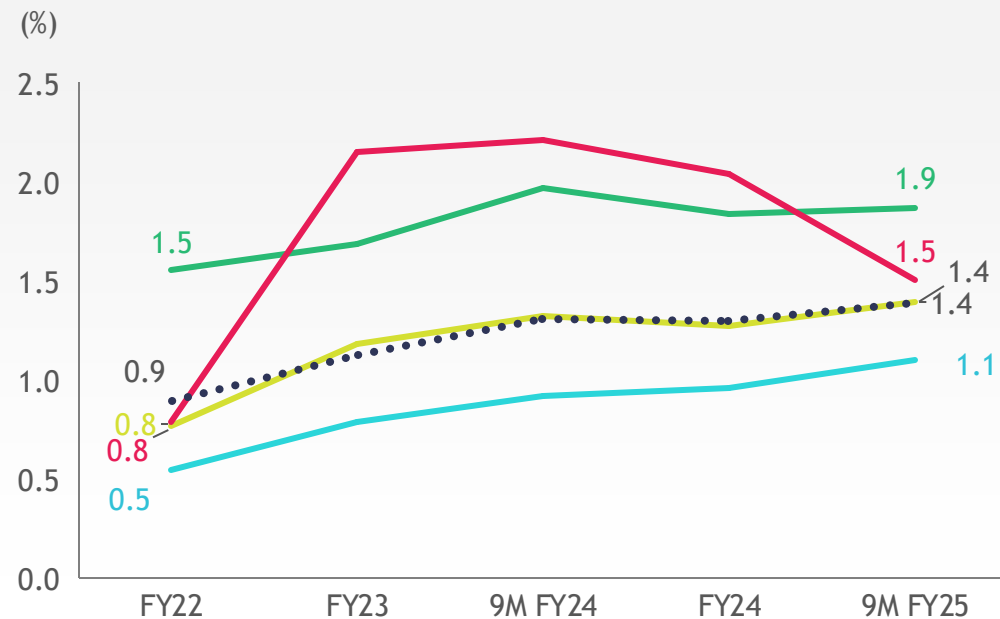
Note: Analysis has been made based on 36 Banks: 12 PSU, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks

Source: Capitaline, Press releases, BCG analysis

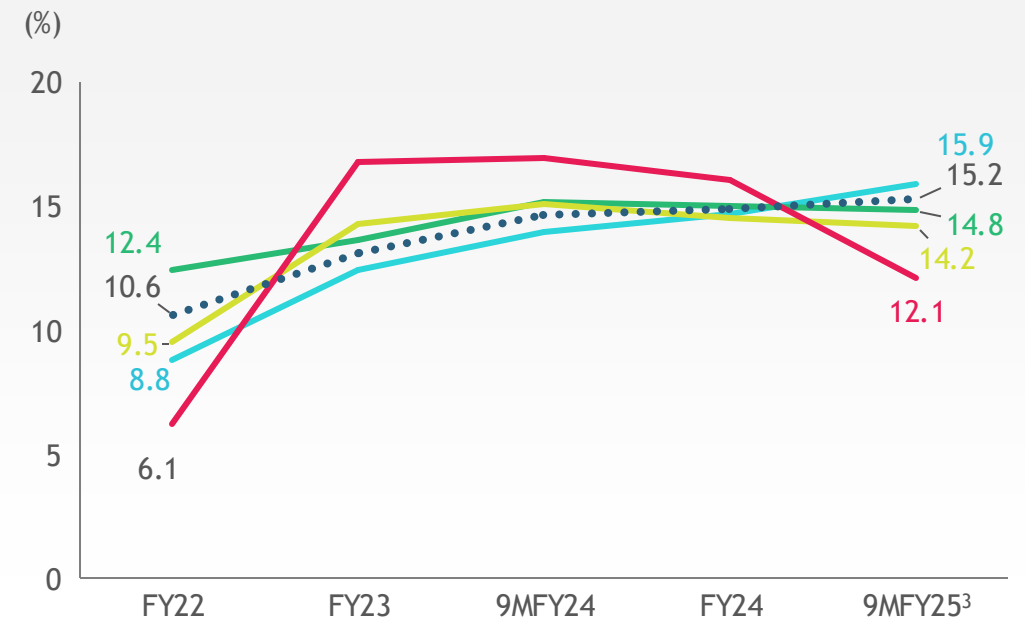


Private banks continue to lead on ROA; PSBs dominating on ROE indicating higher financial leverage

Return on Assets¹ by bank category



Return on Equity² by bank category



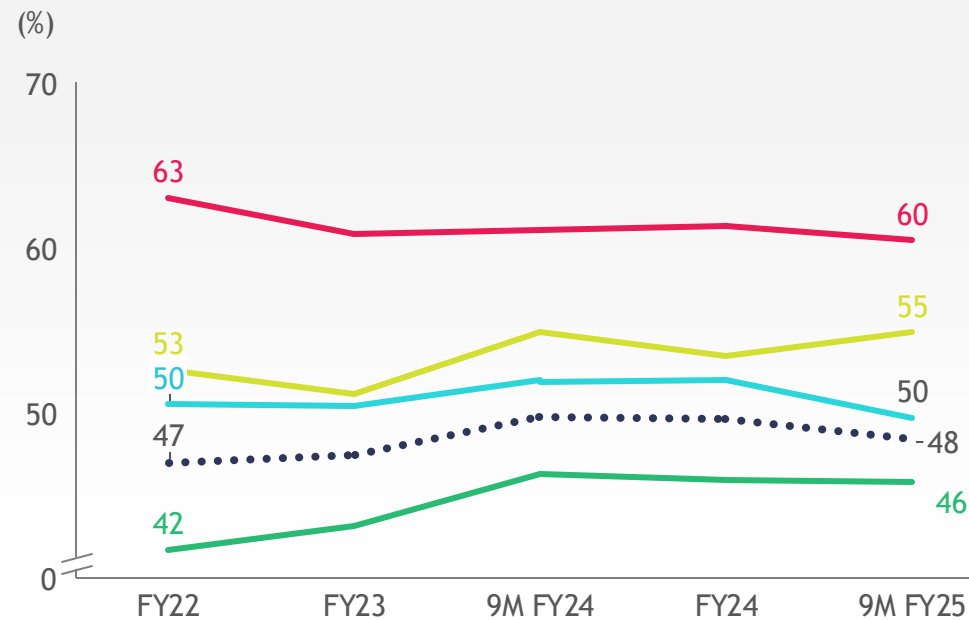
— PSBs — Private New — Private Old — SFB •• Industry

1. Return on Assets is calculated as net profit/average assets; 2. Return on Equity is calculated as net profit/average shareholders' fund; 3. Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks, and 4 Small Finance Banks; HDFC Ltd.'s numbers has been adjusted for prior years to ensure consistency and comparability across periods
Source: RBI; Capitaline; Press releases; BCG analysis

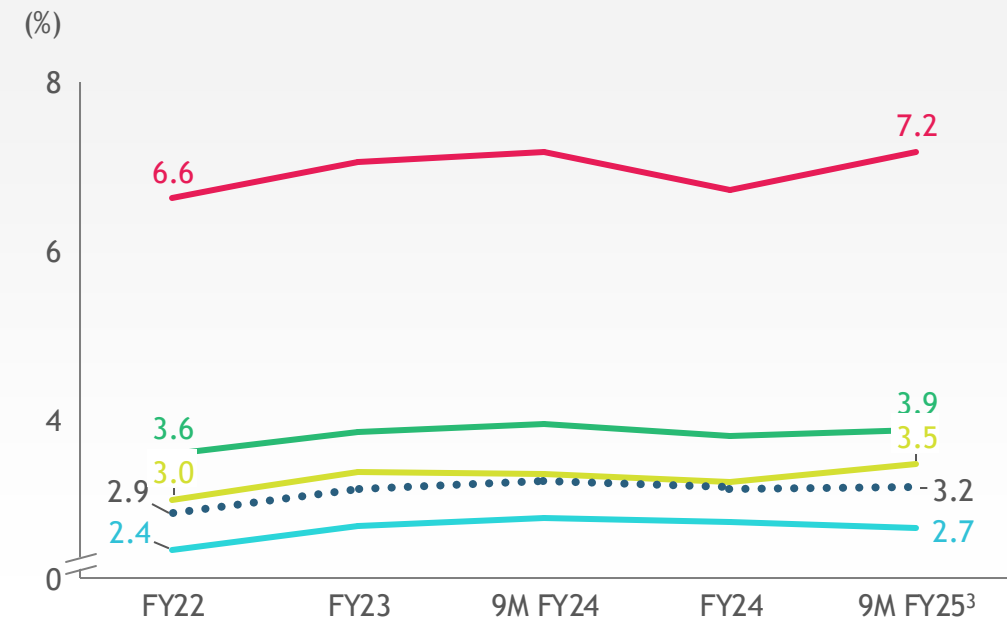


PSBs lead industry wide CIR improvement; NIMs saw marginal decline YoY across the board

Cost to Income Ratio¹ by bank category



Net Interest Margin² by bank category



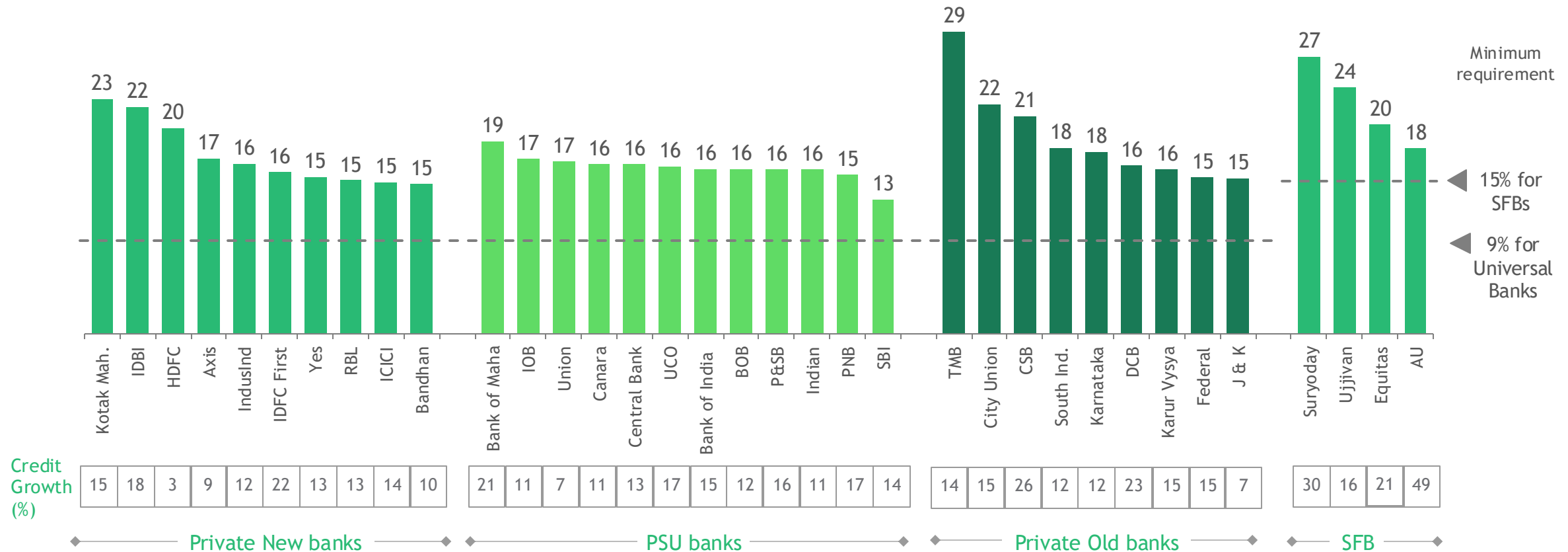
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Banks maintains strong capital buffer to support future credit growth

Capital to Risk-weighted Assets Ratio (%) (Dec '24)



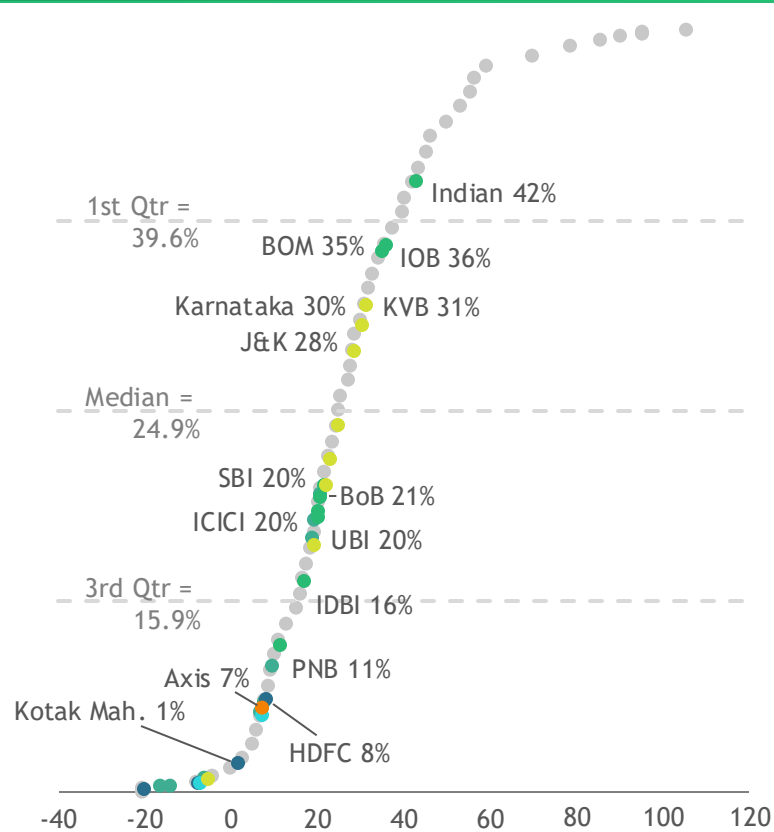


Financial Institutions value creation over time

Value creation trends shift: Private old banks outperform in recent years, PSU banks hold strong over the long term

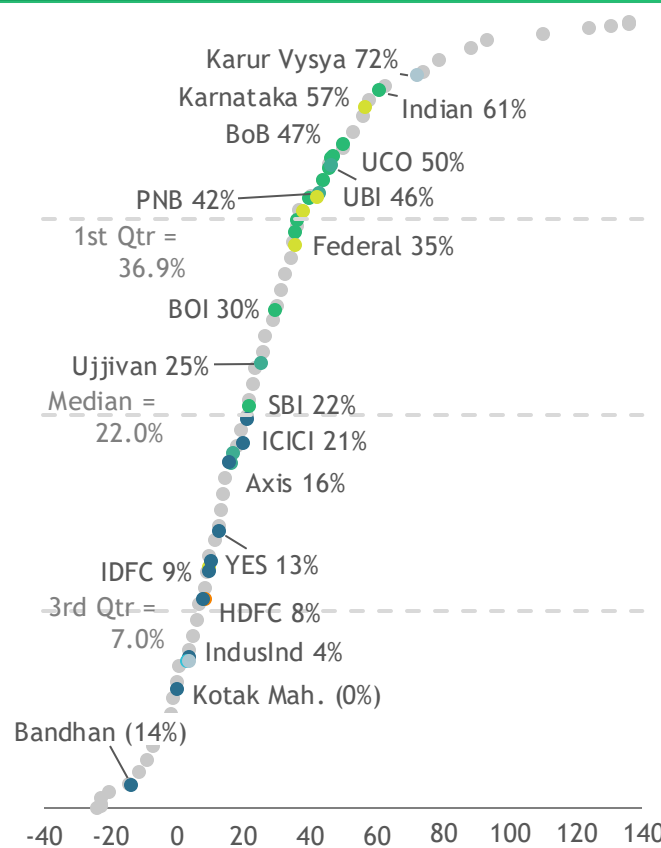
5-year TSR

Annualized, Dec 2019-Dec 2024, %



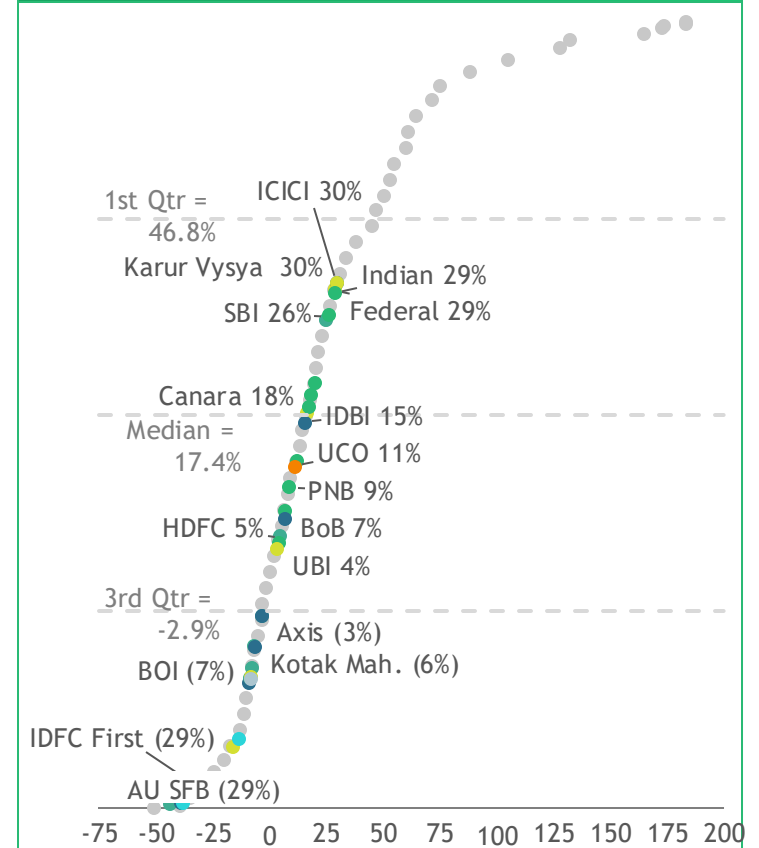
3-year TSR

Annualized, Dec 2021-Dec 2024, %



1-year TSR

Annualized, Dec 2023-Dec 2024, %



● Private New Banks ● Private Old Banks ● PSU Banks ● Small Finance Banks

Note: Background Curve: India Large Mid Cap, Based on data ending in December. TSRs use company reporting currency.

Source: S&P Capital IQ; BCG ValueScience® Center



Analysts have remained bullish for most Banks over the last 2 years

Share of analysts suggesting “BUY” signal

PSU Banks					Private New Banks					Private Old Banks					Small Finance Banks				
	Count ¹	Dec'24	Dec'23	Dec'22		Count ¹	Dec'24	Dec'23	Dec'22		Count ¹	Dec'24	Dec'23	Dec'22		Count ¹	Dec'24	Dec'23	Dec'22
 SBI	42	74%	89%	95%	 HDFC BANK	41	83%	93%	88%	 FEDERAL BANK YOUR FUTURE. FINANCED. PROGRESS.	33	79%	86%	95%	 AU SMALL FINANCE BANK	23	52%	40%	53%
 pnb	16	50%	31%	21%	 ICICI Bank	41	90%	95%	97%	 J&K Bank	1	100%	100%	NA	 equitas	16	63%	80%	100%
 Bank of Baroda	31	77%	59%	90%	 AXIS BANK	41	81%	90%	94%	 Karnataka Bank	3	100%	100%	100%	 UJJIVAN UJJIVAN SMALL FINANCE BANK	15	80%	100%	91%
 Canara Bank	16	62%	79%	82%	 kotak Kotak Mahindra Bank	39	56%	47%	57%	 SOUTH INDIAN Bank	6	67%	60%	33%	 SURYODAY A BANK OF SMILES	1	100%	100%	100%
 Union Bank of India	10	70%	78%	40%	 IndusInd Bank	42	71%	95%	87%	 Kannur Vyasa Bank Kannur Vyasa Bank	11	91%	100%	100%					
 Bank of India Relationship Beyond Banking	5	40%	67%	75%	 YES BANK	12	0%	0%	0%	 CITY UNION BANK CITY UNION	21	85%	72%	72%					
 Indian Bank Indian Bank	11	82%	75%	100%	 IDBI BANK	1	0%	0%	0%	 DCB BANK	18	88%	76%	69%					
 Central Bank of India	0	NA	NA	NA	 IDFC FIRST Bank	19	47%	50%	42%	 CSB Bank Powering Your Corporate System Bank Life	2	100%	100%	100%					
 Indian Overseas Bank	0	NA	NA	0%	 Bandhan Bank	26	61%	79%	68%	 Dhanlaxmi Bank	0	NA	NA	NA					
 UCO BANK	0	NA	NA	NA	 RBL BANK	19	42%	44%	33%	 TMB Trustees' Merchant Bank The Mutual Group of IFC	0	NA	NA	NA					
 Bank of Maharashtra	0	NA	NA	NA															
 Pragati & Sind Bank	0	NA	NA	NA															

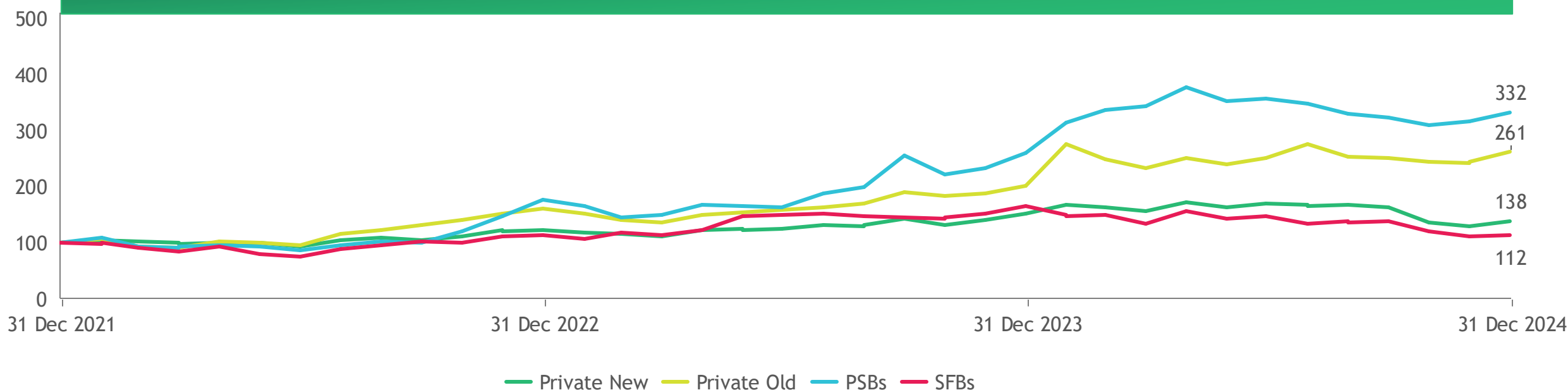
1. Count is for December 2024

Source: CapIQ; BCG analysis



PSBs have delivered significant outperformance over the past three years

Index (weighted by market cap.) for PSBs-Large and Medium, Pvt. Banks and SFBs



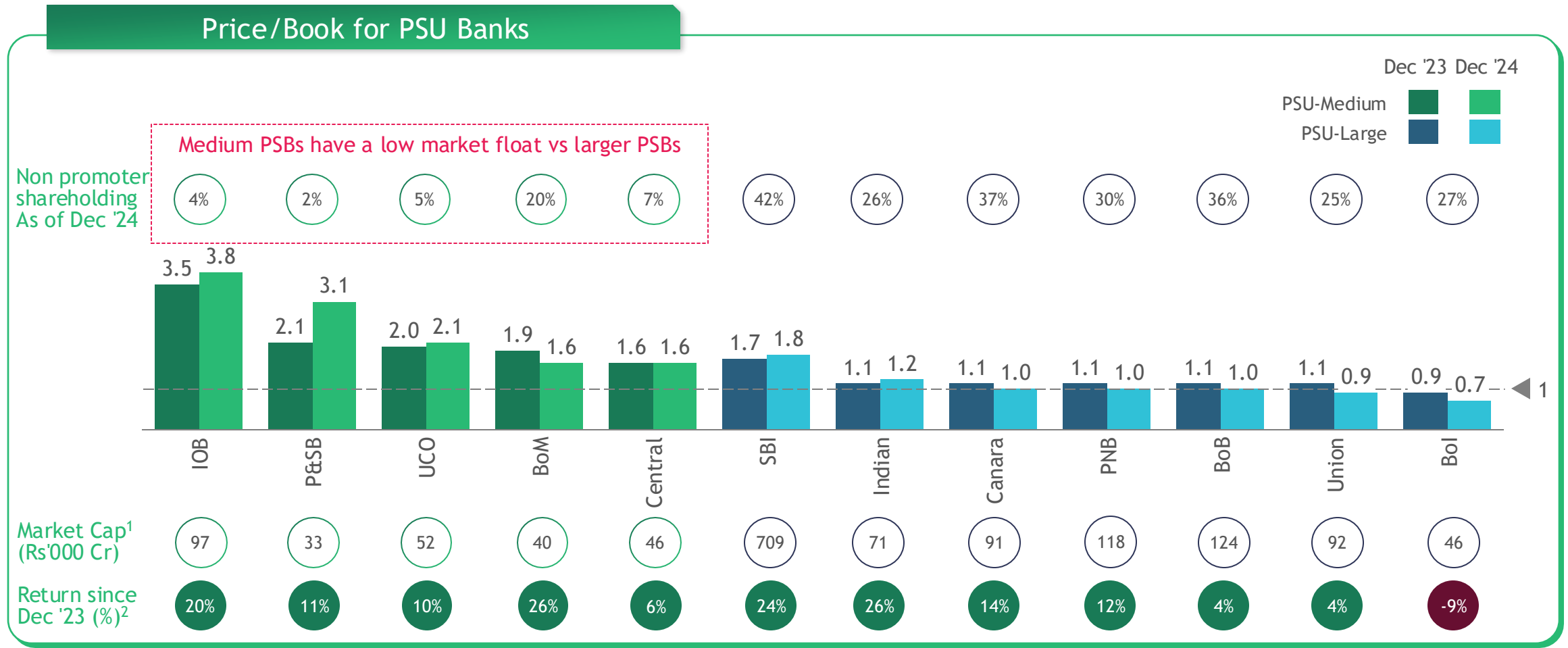
Total Return (%)

	Pvt. Banks New	Pvt. Banks Old	PSBs	SFBs
3-Yr Return	37.8%	161.3%	232.3%	12.1%

Note: PSU index includes 7 PSU banks-Large, 5 PSU banks-Medium, Private Bank index includes 10 Private-New and 10 Private-Old Banks, SFB index includes 4 SFBs. Index weighted as per market capitalization of banks Index period from December 2021 to December 2024
Source: Capital IQ; BCG ValueScience Center



PSBs witnessing rising price to book multiple led by PSU-Medium banks

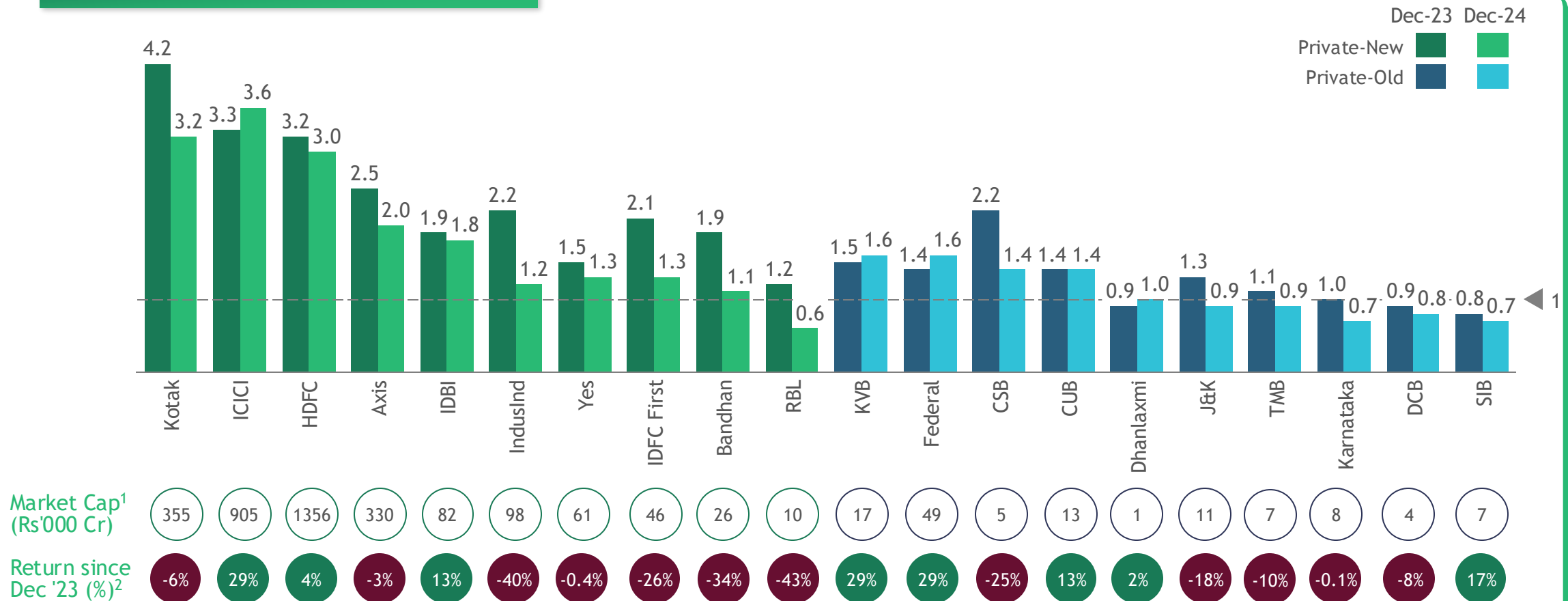


1. Market Cap as on Dec 31, 2024, 2. Return refers to YoY change in Market Cap
Source: Capitaline, BCG Analysis



Divergent increase in valuations for Private banks

Price/Book for Private Banks



1. Market Cap as on Dec 31, 2024, 2. Return refer to YoY change in Market Cap
Source: Capitaline, BCG Analysis

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures

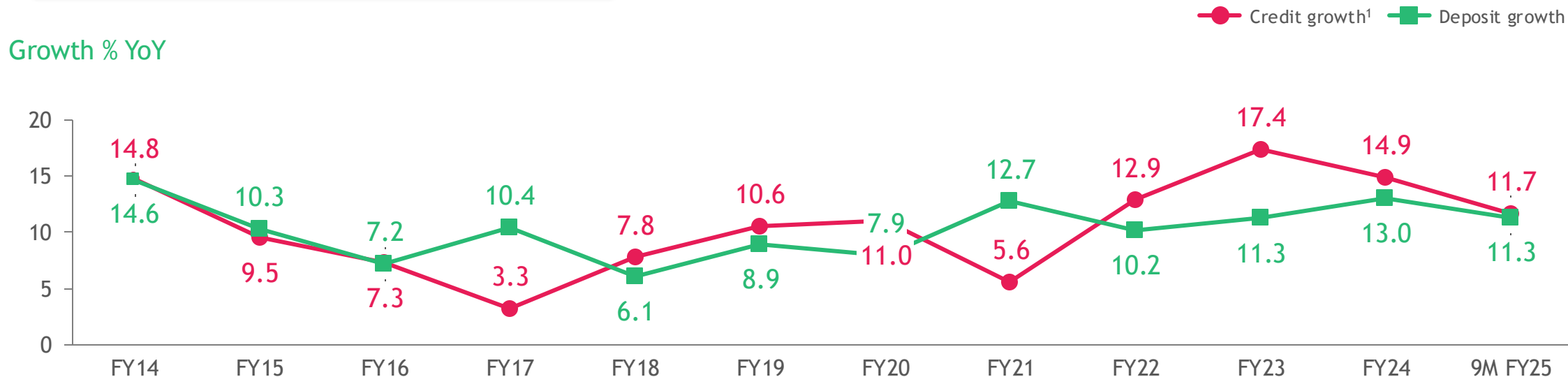


Individual Player Performance



Shrinking deposit-credit growth gap in 9MFY25 with rising CD ratio pointing to a tightening liquidity situation

Credit¹ and Total Deposit growth rate (%)



CD Ratio²

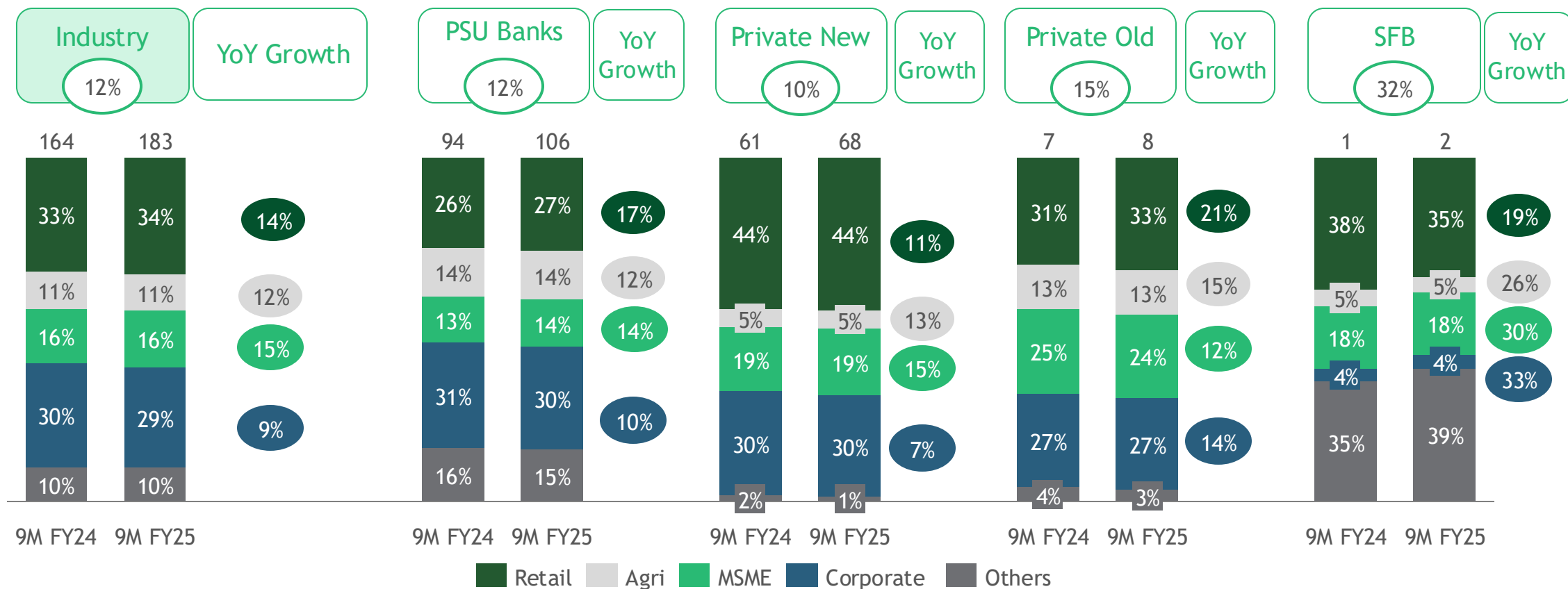
PSB	77%	76%	74%	69%	69%	69%	68%	64%	66%	71%	74%	76%
PVT	84%	86%	90%	85%	87%	88%	98%	89%	91%	93%	91%	91%
Industry	79%	78%	78%	73%	74%	75%	78%	73%	74%	79%	80%	82%

1. Credit growth are Net Advances growth. 2. Credit-Deposit Ratio is calculated as Net Advances/Total Deposits
 Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks
 Source: RBI; Capitaline; Press releases; BCG analysis



Moderate growth in corporate loans led by pricing pressure dragging the overall credit growth across the board

Split of Gross Domestic Loan Book (in Lakh Cr)



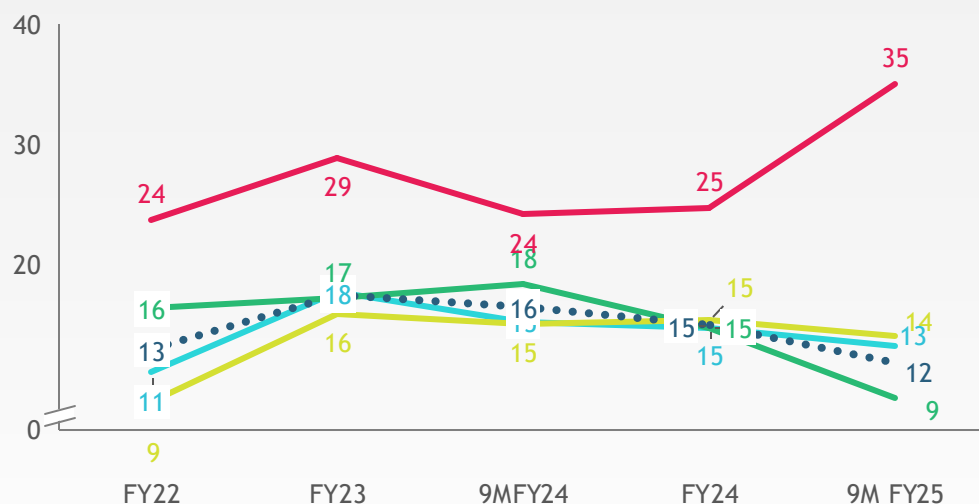
Note: MSME includes SME, LAP, Business Banking, and CV/CE loans; Agri includes Rural Loans, Kisan gold card loans, and Tractor Loans; Others include Microfinance, Micro group loans, PSL Inorganic + SRs, and loans converted into Equity and credit substitutes
Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks



Credit growth moderates amid slower commercial lending activities; Deposits growth continue downward trajectory

Credit¹ growth (%) by bank category

Growth % YoY

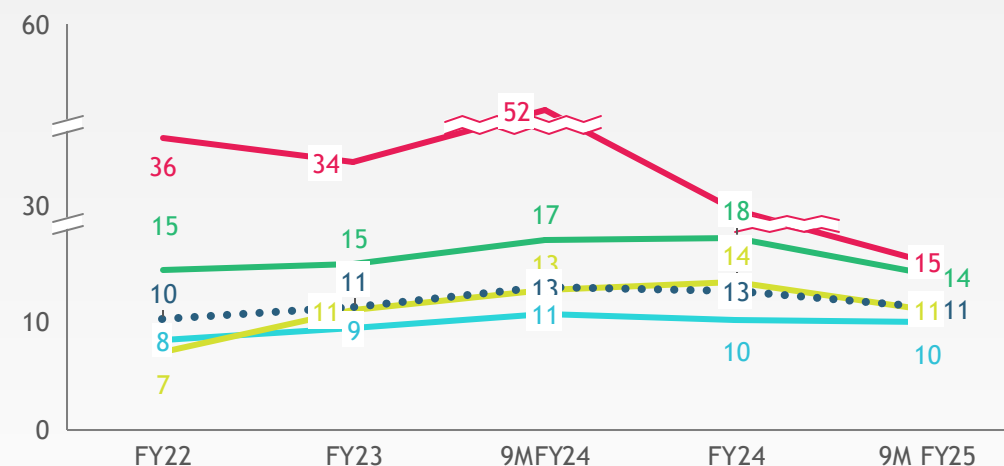


Market share (%)

	FY22	FY23	9MFY24	FY24	9M FY25
PSBs	58%	58%	58%	58%	58%
PVT-N	38%	37%	38%	37%	37%
PVT-O	4%	4%	4%	4%	4%
SFB	0.7%	0.8%	0.8%	0.8%	1.0%

Total Deposits growth (%) by bank category

Growth % YoY



Market share (%)

	FY22	FY23	9MFY24	FY24	9M FY25
PSBs	65%	64%	63%	63%	62%
PVT-N	30%	31%	32%	32%	33%
PVT-O	4%	4%	4%	4%	4%
SFB	0.6%	0.7%	0.9%	0.8%	0.9%

PSBs Private New Private Old SFB Industry

1. Credit growth are Net Advances growth

Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks; HDFC Ltd.'s growth has been adjusted for prior years to ensure consistency and comparability across periods

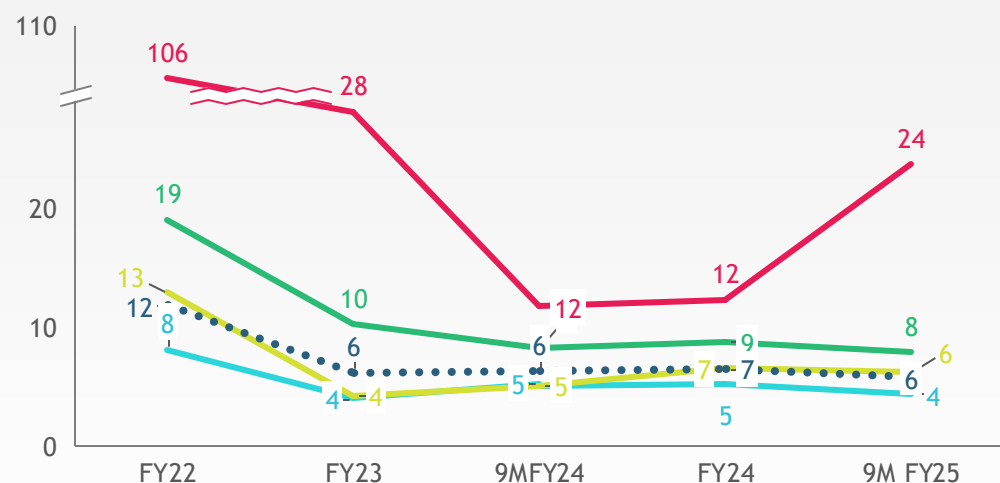
Source: RBI; Capitaline; Press releases; BCG analysis



CASA growth broadly stable as Term deposits saw significant decline in growth

CASA growth (%) by bank category

Growth % YoY

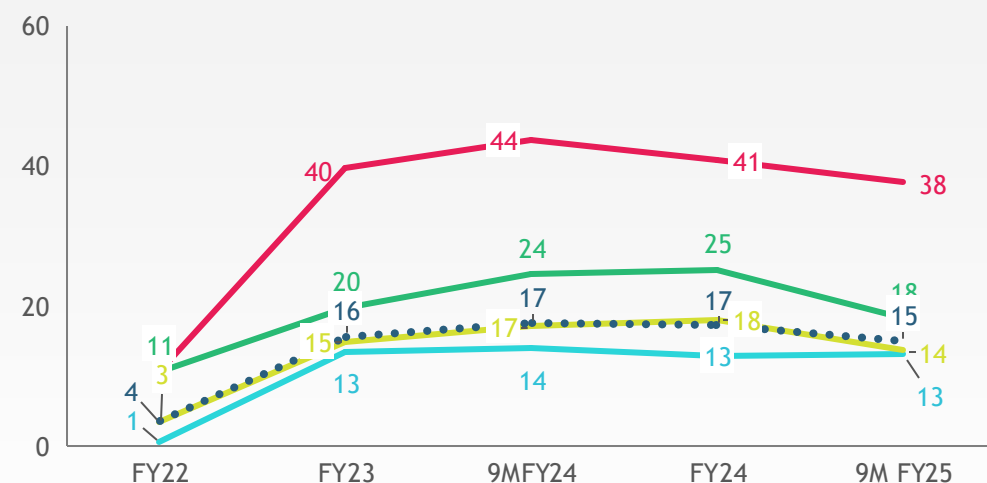


Market share (%)

PSBs	64%	62%	63%	62%	62%
PVT-N	32%	33%	33%	34%	34%
PVT-O	4%	4%	4%	4%	4%
SFB	0.5%	0.6%	0.6%	0.6%	0.7%

Term Deposits growth (%) by bank category

Growth % YoY



Market share (%)

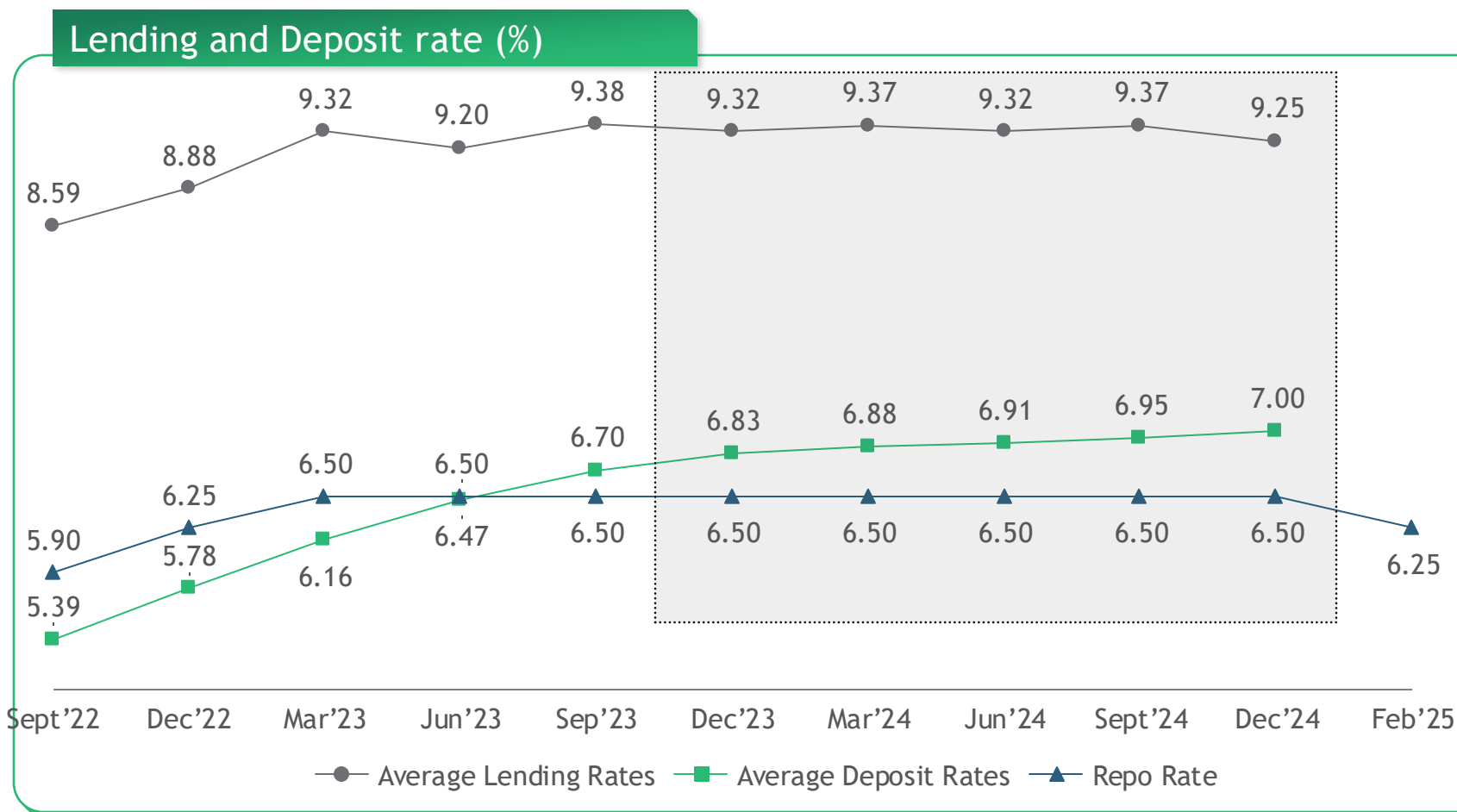
PSBs	65%	64%	62%	62%	61%
PVT-N	29%	31%	33%	33%	33%
PVT-O	5%	5%	5%	5%	5%
SFB	0.6%	0.8%	0.9%	0.9%	1.1%

— PSBs — Private New — Private Old — SFB • Industry

Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks; HDFC Ltd.'s growth has been adjusted for prior years to ensure consistency and comparability across periods
Source: RBI; Capitaline; Press releases; BCG analysis



RBI cuts repo rate by 25 bps in Feb-25 after holding it stable for approx. 2 years



Change in key rates since Dec-23

**-25
bps**

Repo Rate
(25 bps cut
in Feb' 25)

**-7
bps**

Weighted Average
Lending Rate
(Industry)

**17
bps**

Weighted Average
Term Deposit
Rates (Industry)

Note: WALR is Weighted Average Lending Rates on fresh loans and WATDR is Weighted Average Domestic Term Deposit Rates on outstanding deposits; All figures at an aggregate industry level
Source: RBI; BCG analysis



Repo rate cut | First rate cut in 5 years by 25 bps

Triggers



Easing inflation

- CPI inflation cooled to 5.2% in Dec-24 from 6.2% in Oct-24 driven by moderation in food inflation
- MPC's expectation is for the core inflation rising next fiscal, but the print will remain moderate



Growth slowdown

- GDP growth likely to slow to 6.4% in current fiscal as against 8.2% in the previous year
- Expectation of easing inflation gave MPC space to support growth by cutting rates
- MPC's expectation is for the private investments to recover along with continuing government capex

Consideration



Foreign exchange pressure

- Significant fall in rupee exchange rate against USD - depreciation to INR 87/USD, down from INR 84.7/USD
- This fall is driven by strengthening USD, rising US 10Y yields, and FPI outflows
- MPC's rate cut of only 25 bps influenced by the pressure on INR; to balance out further depreciation

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures

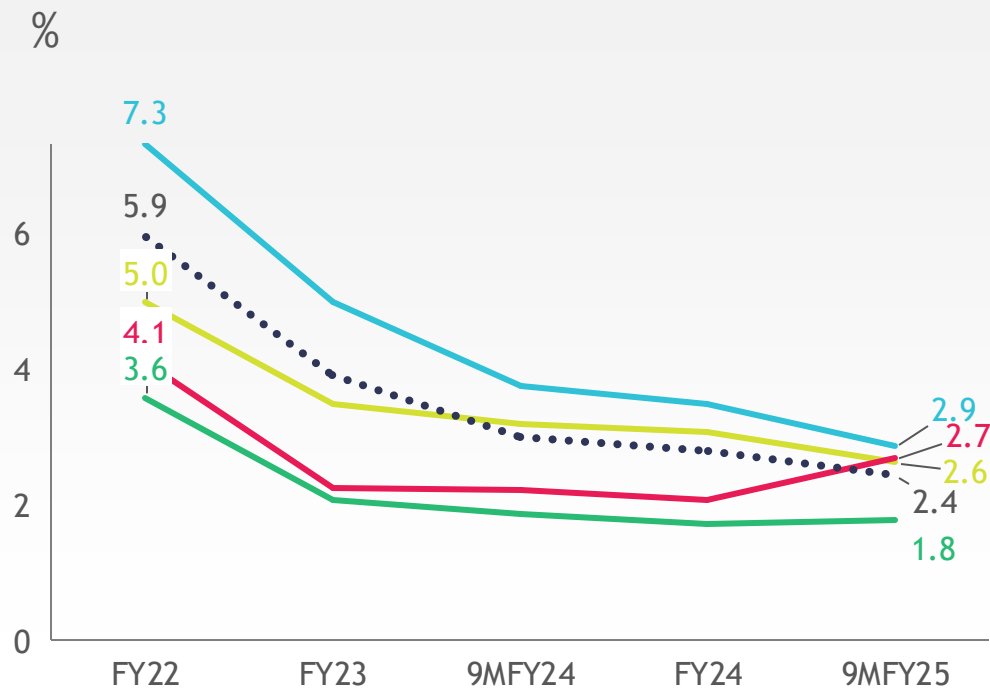


Individual Player Performance



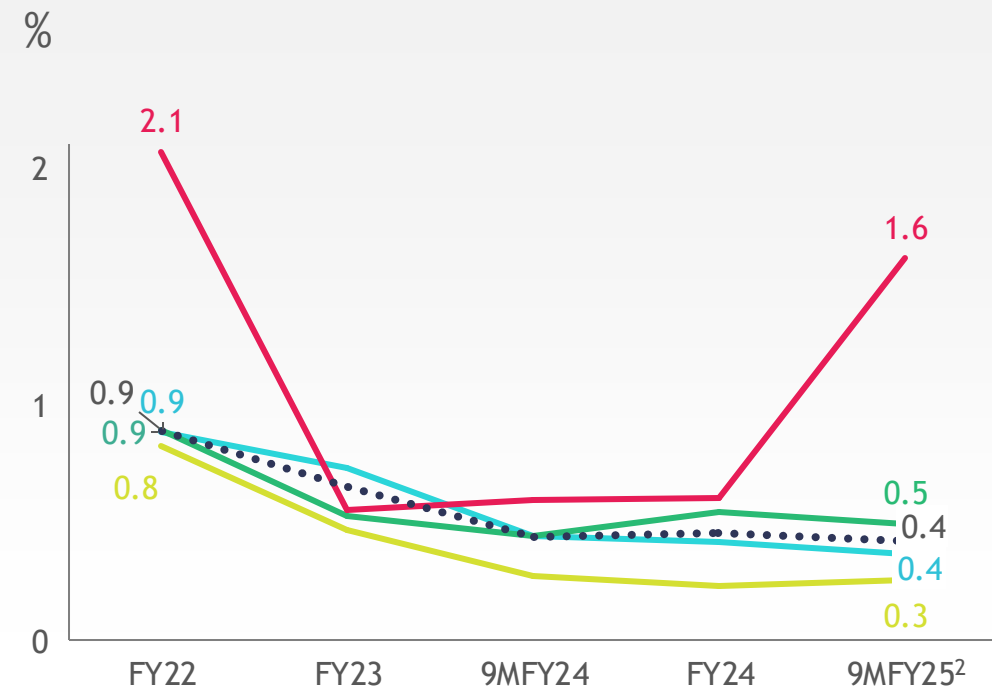
Private Banks leading the pack on asset quality; SFBs see sharp uptick in credit cost

Gross NPAs by bank category



— PSU — Private New — Private Old — SFB •• Industry

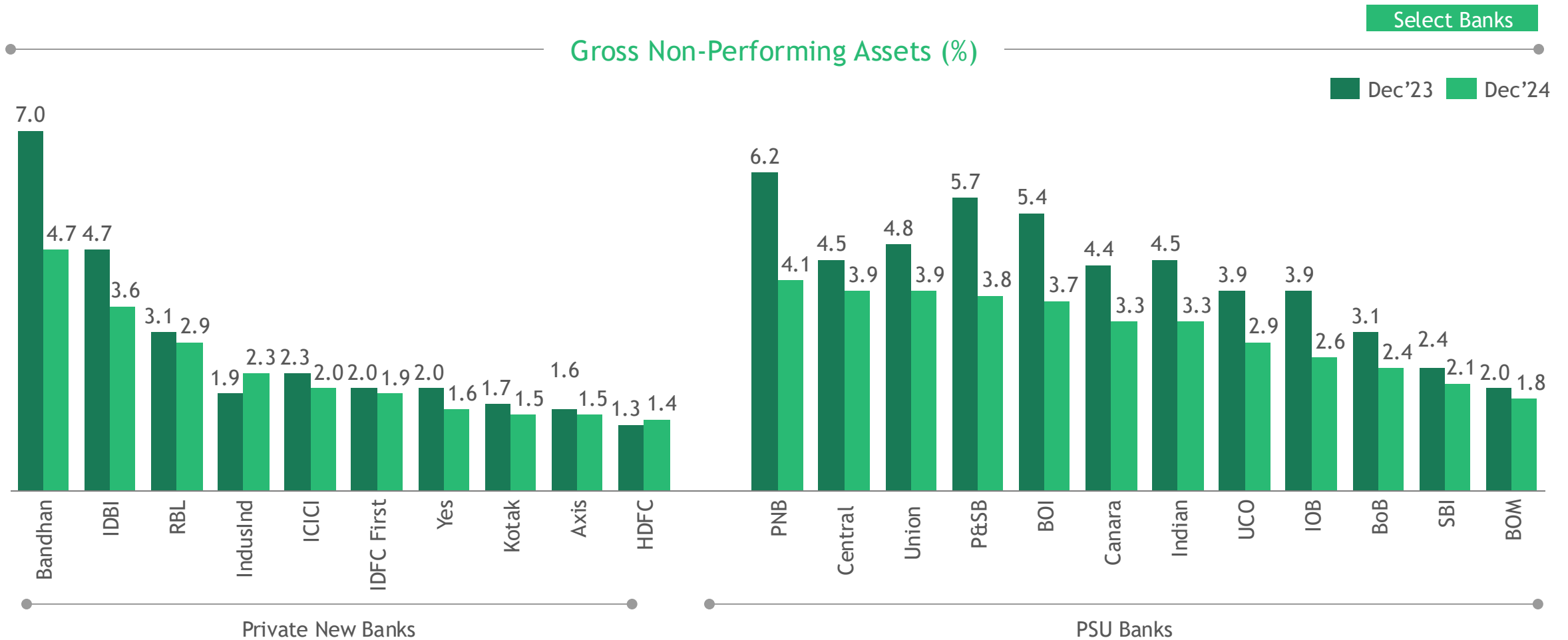
Credit costs¹ by bank category



1. As a percentage of average assets; 2. Analysis has been made based on 36 Banks: 12 PSBs, 10 Private-New, 10 Private-Old Banks and 4 Small Finance Banks; HDFC Ltd.'s numbers has been adjusted for prior years to ensure consistency and comparability across periods
Source: RBI; BCG analysis

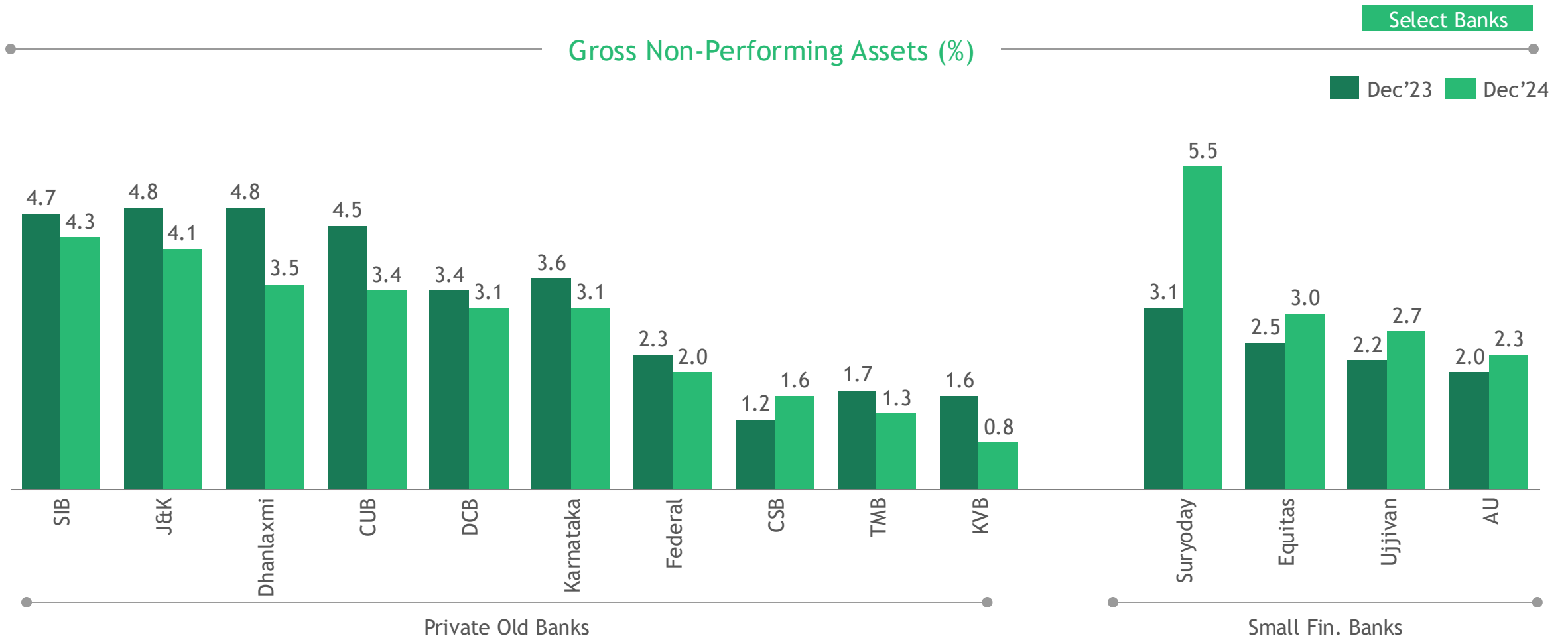


Considerable decline in Gross NPAs across most PSU Banks





Small Finance Banks witnessed deterioration in asset quality

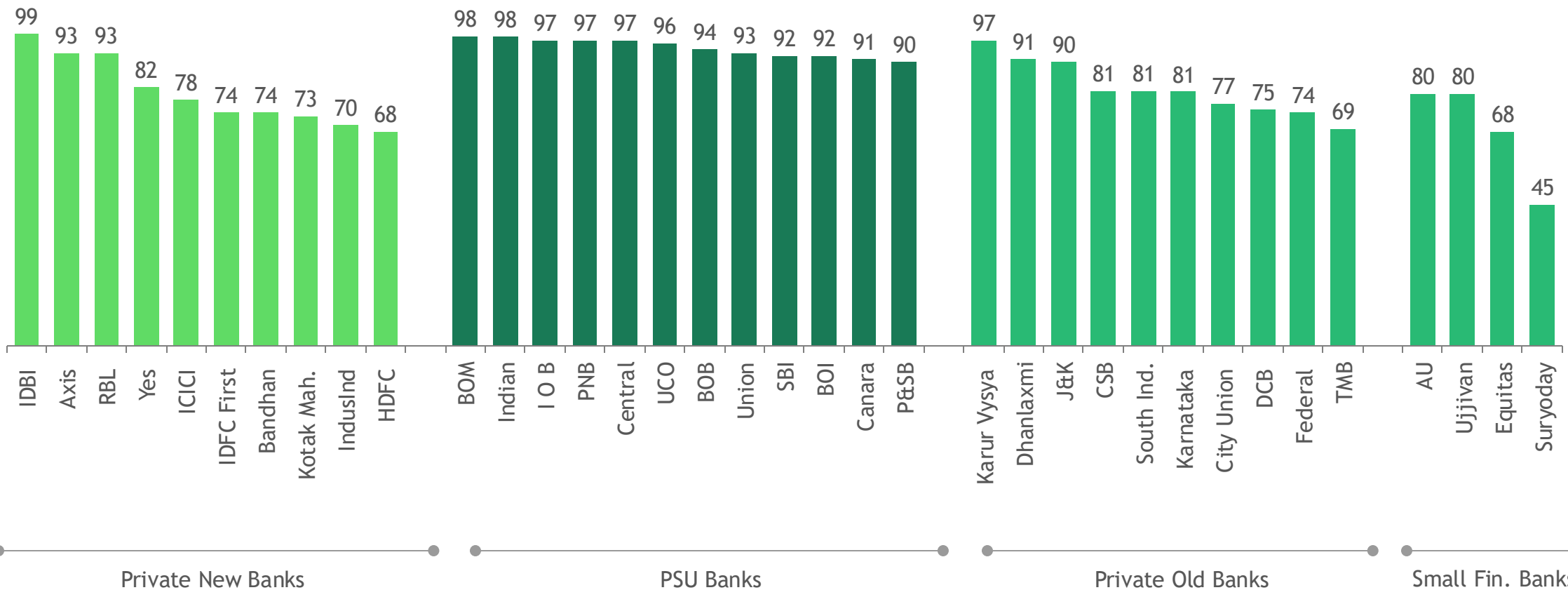




High provisioning across most banks

Provision Coverage Ratio¹ (%) (Dec '24)

Select Banks



1. All the above PCR% are including Technical write-offs, except Suryoday SFB (excl. technical Write-off).
Source: Capitaline, Investor presentation

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures



Individual Player Performance



Banks accelerating digital transformation with particular focus on digital credit card issuances & digital onboarding

Q3 FY25 vs. Q3 FY24	Select Banks				
	 Bank of Baroda	 AXIS BANK	 SBI	IndusInd Bank	 IDFC FIRST Bank
Saving Account sourced digitally	93% vs. 96%	80% ¹ vs. 70%	59% ⁴ vs. NA%	97% vs. 96%	NA
FD sourced digitally	81% vs. 24%	NA vs. 74%	NA	77% vs. 90%	~INR 13k Cr ⁷ vs. INR 6.8k Cr
SIPs initiated digitally	NA	79% vs. 74%	NA	NA	~INR 771 Cr ⁸ vs. INR 347 Cr
Credit Card issued digitally	NA	89% ² vs. 87%	NA vs. ~240K cards	100% ⁶ vs. 97%	NA
Personal Loans sourced digitally	1,229Cr vs. NA	59% vs. 53%	~INR 1.6K Cr ⁵ vs. INR 8.4K Cr	100% ⁶ vs. 77%	NA
Volume of MB Transaction	NA	96% ³ vs 96%	NA	NA	NA

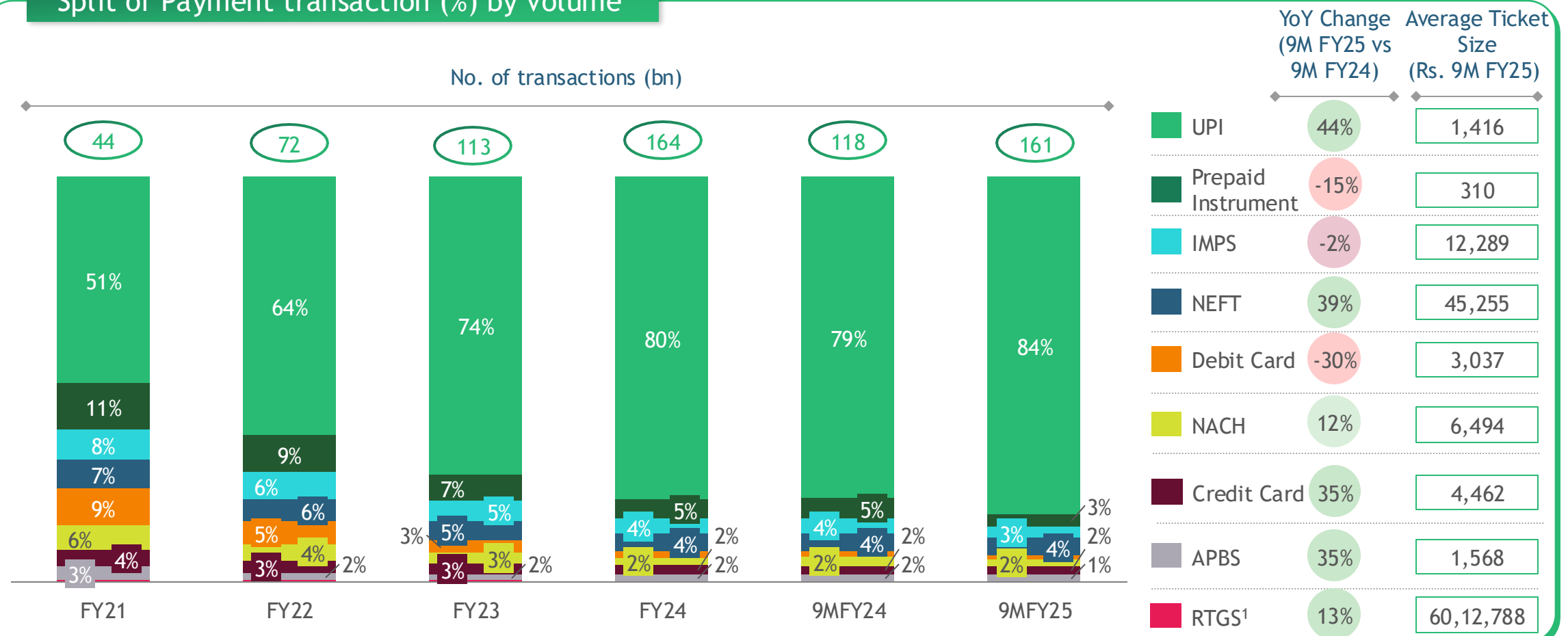
Note: 1.Digital Tablet based account opening process for Q2FY25; 2.Issuance through Digital and Phygital mode; 3. Overall Digital Transaction Mix; 4. Opened through YONO 5. PAPL; 6. Originated digitally through Indus easy Credit; 7. Sourced via IDFC Mobile App; 8. Mutual fund investments directly from IDFC Mobile App.
Source : NPCI, Investor presentations, Analyst reports, BCG analysis



UPI continues to dominate payment digital payment system

30% YoY drop recorded in debit cards volumes in 9MFY25

Split of Payment transaction (%) by volume



Notes: Only domestic financial transactions are considered;

1. RTGS transactions excludes interbank transactions; Volumes of RTGS is less than 0.5%

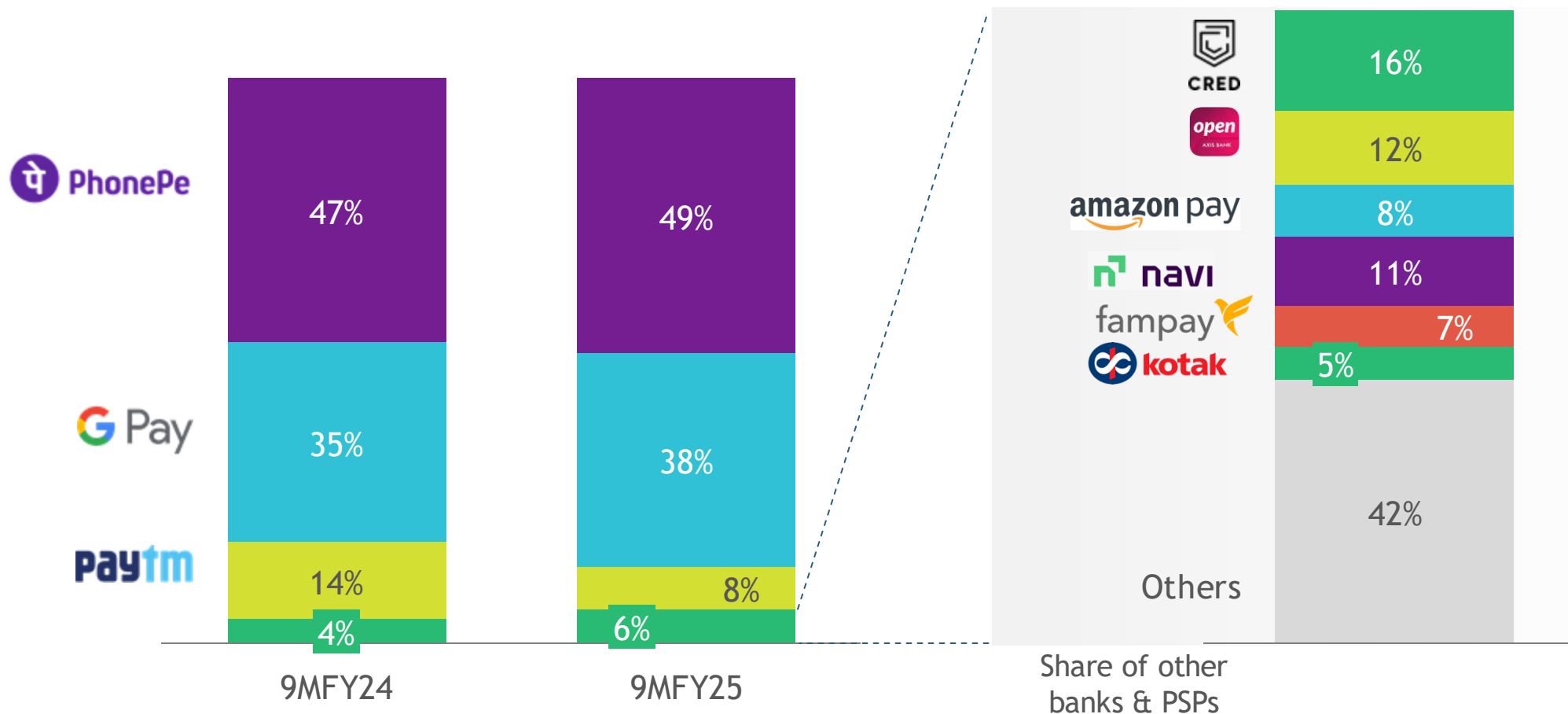
Source: RBI data, National Payments Corporation of India (NPCI) statistics, BCG analysis



Gpay and PhonePe together command ~87% UPI market share

Others' category is spread across banks and payment wallet providers

Share of UPI Transactions by UPI apps



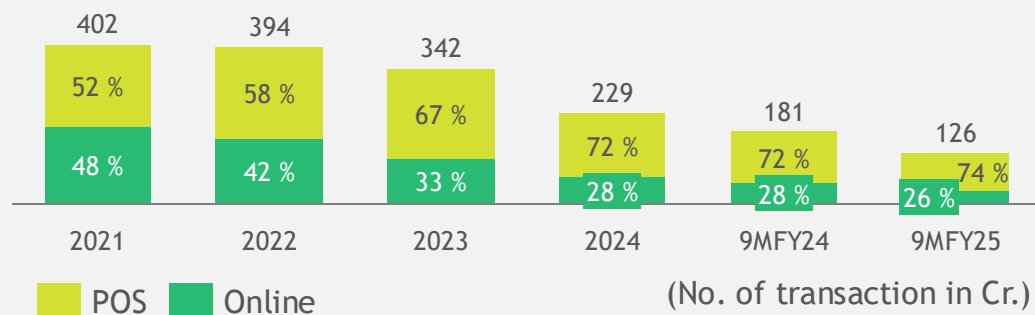
1. Total may not sum to 100 because of differences due to rounding off
Source: RBI data, NPCI, Press Releases, BCG Analysis



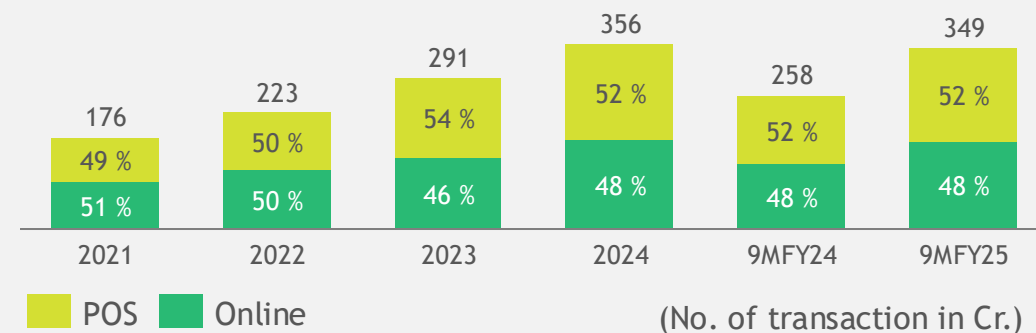
Online debit card transactions has significantly dropped

CC transaction value grew by ~15% while DC transaction value down by ~17%

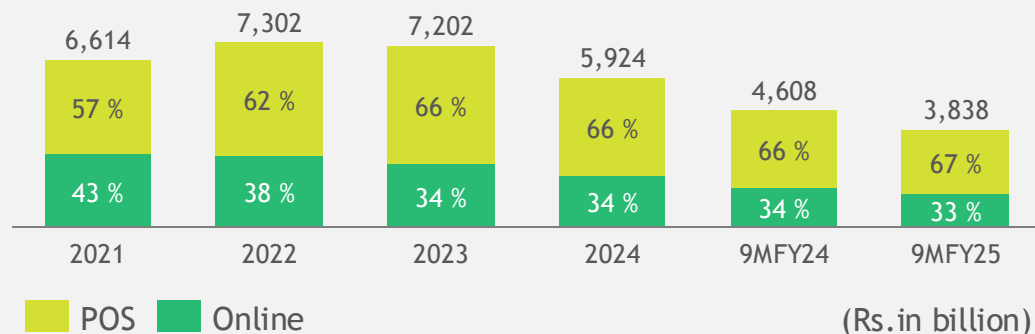
Debit Card number of transactions



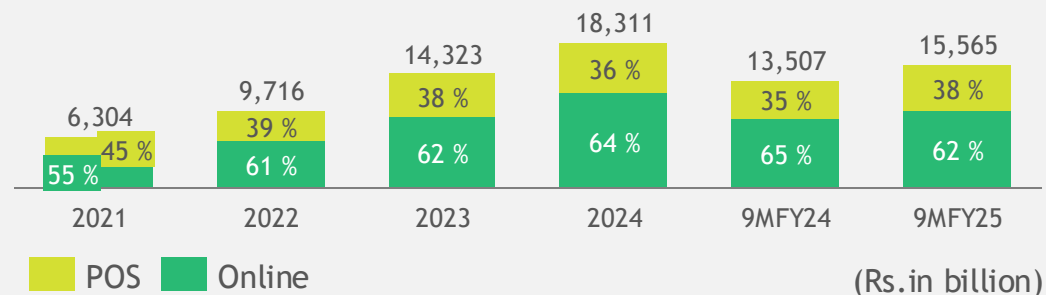
Credit Card number of transactions



Debit Card value of transactions



Credit Cards value of transactions



1. Above debit card and credit card transactions excludes ATM and POS cash withdrawal transactions; 2. Online in Debit card includes e-commerce, card to card transfer & digital bill payment through ATMs; 3. Online in Credit card includes e-commerce & digital payments through ATMs
Source: RBI data, National Payments Corporation of India (NPCI) statistics, BCG analysis



Top five banks across digital payment categories



UPI Payments

Share of Remitter Bank	9M FY21	9M FY25
➤ State Bank of India	28%	27%
➤ HDFC Bank	8%	9%
➤ Bank of Baroda	4%	7%
➤ Union Bank of India	3%	6%
➤ Punjab National Bank	4%	6%
Share of PSP ¹ Bank	9M FY21	9M FY25
➤ Yes Bank	12%	40% ²
➤ State Bank of India	16%	11%
➤ Axis Bank	8%	9%
➤ HDFC Bank	6%	5%
➤ ICICI Bank	12%	4%



Card Payments

Share of o/s Credit Cards	9M FY21	9M FY25
➤ HDFC Bank	26%	21%
➤ State Bank of India	19%	19%
➤ ICICI Bank	16%	17%
➤ Axis Bank	12%	14%
➤ Kotak Mahindra Bank	4%	5%
Share of o/s Debit Cards	9M FY21	9M FY25
➤ State Bank of India	34%	24%
➤ Bank of Baroda	7%	9%
➤ Canara Bank	4%	6%
➤ HDFC Bank	4%	6%
➤ Union Bank of India	5%	6%



POS Machines

Share of o/s POS Machines	9M FY21	9M FY25
➤ Axis Bank	11%	20%
➤ ICICI Bank	11%	19%
➤ RBL Bank	16%	18%
➤ HDFC Bank	20%	17%
➤ State Bank of India	15%	16%

1. PSP- Payment Service Provider 2. Significant jump in Yes Bank is driven by its designation as one of the PSP for Paytm
Source: RBI data, National Payments Corporation of India (NPCI) statistics, BCG analysis

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures



Individual Player Performance



Key Recent Regulatory Measures



Note sorting machines

- RBI mandates that, from May 1, 2025, banks must use only BIS-certified note sorting machines conforming to IS 18663:2024 standards
- Performance requirements include speed, accuracy, ability to sort by denomination, and real-time detection of counterfeit and unfit banknotes
- These machines must verify the authenticity of banknotes, detect counterfeits, and classify them as fit or unfit



RBI amendment to KYC Master Directions

- Effective immediately, existing KYC-compliant customers do not need fresh Customer Due Diligence (CDD) for new accounts or services within the same bank
- KYC updates must be periodically uploaded to the Central KYC Records Registry (CKYCR), with banks required to update records within seven days of receiving new customer data
- High-risk accounts require intensified monitoring, and banks must ensure timely KYC compliance to prevent transaction disruptions



RBI circular on inoperative accounts and unclaimed deposits

- Banks must conduct annual reviews of accounts with no customer-initiated transactions for over a year
- Special measures should be taken to facilitate activation of frozen accounts, especially for government benefit recipients (DBT/EBT beneficiaries)
- The Customer Service Committee of each bank's board must monitor progress, and banks must submit quarterly reports to RBI via the DAKSH portal.



Key Recent Regulatory Measures



RBI update on FCNR(B) Deposit Interest Rates

- RBI has increased the ceiling on interest rates for Foreign Currency Non-Resident (Bank) [FCNR(B)] deposits
- For deposits of 1-3 years, the new ceiling is the overnight Alternative Reference Rate (ARR) + 400 basis points
- For deposits of 3-5 years, the ceiling is the overnight ARR + 500 basis points
- This relaxation is temporary and will remain in effect until March 31, 2025
- The measure aims to attract foreign currency deposits and enhance banking sector liquidity



RBI circular on collateral free agricultural loans

- RBI has increased the limit for collateral-free agricultural loans from ₹1.6 lakh to ₹2 lakh per borrower
- This applies to loans for farming and allied activities, ensuring easier credit access for small farmers
- The revised instructions must be implemented by January 1, 2025.



RBI circular on RTGS and NEFT beneficiary name look-up

- RBI is introducing a beneficiary name verification facility for Real-Time Gross Settlement (RTGS) and National Electronic Funds Transfer (NEFT)
- This system, similar to UPI/IMPS, allows remitters to verify the recipient's account name before initiating a transaction
- The National Payments Corporation of India (NPCI) will develop and implement the facility, onboarding all banks
- Banks must provide this service via internet banking, mobile banking, and branch transactions
- The facility must be available by April 1, 2025, to prevent transaction errors and fraud.

Banking sector overview



Macro Indicators



Key Performance Indicators - Banking Sector



Business: Advances & Deposits



NPA & Risk Management



Digital in Banking



Key Regulatory Measures



Individual Player Performance



Individual player performance (I/IV)-Standalone

	Period	Net Advances Rs Lakh Cr		Deposits Rs Lakh Cr		CASA Ratio ³ (%)		NIM ¹ (%)		CIR ² (%)		GNPA (%)		ROA ¹ (%)		
Private New Banks	 HDFC BANK	9MFY25	25.2	▲ 3%	25.6	▲ 16%	34.0	▼ -370.7 bps	3.3	▼ -24 bps	40.8	▼ -34 bps	1.4	▲ 16 bps	1.8	▼ -12 bps
		9MFY24	24.5		22.1		37.7		3.7		41.1		1.3		2.0	
	 ICICI Bank	9MFY25	13.1	▲ 14%	15.2	▲ 14%	39.0	▼ -36.3 bps	4.2	▼ -27 bps	38.9	▼ -169 bps	2.0	▼ -34 bps	2.4	▼ -1 bps
		9MFY24	11.5		13.3		39.4		4.5		40.6		2.3		2.4	
	 AXIS BANK	9MFY25	10.1	▲ 9%	11.0	▲ 9%	39.5	▼ -264.1 bps	3.7	▼ -6 bps	46.9	▼ -247 bps	1.5	▼ -12 bps	1.8	▼ -3 bps
		9MFY24	9.3		10.0		42.1		3.7		49.3		1.6		1.8	
	 kotak Kotak Mahindra Bank	9MFY25	4.1	▲ 15%	4.7	▲ 16%	42.3	▼ -540.6 bps	4.7	▼ -35 bps	47.0	▲ 52 bps	1.5	▼ -23 bps	2.9	▲ 59 bps
		9MFY24	3.6		4.1		47.7		5.0		46.4		1.7		2.5	
	 IndusInd Bank	9MFY25	3.7	▲ 12 %	4.1	▲ 11%	34.9	▼ -360.2bps	4.1	▼ -19 bps	51.5	▲ 441 bps	2.3	▲ 33 bps	1.3	▼ -54 bps
		9MFY24	3.3		3.7		38.5		4.4		47.1		1.9		1.9	
	 YES BANK	9MFY25	2.4	▲ 13%	2.8	▲ 15%	33.1	▲ 339.1 bps	2.2	▲ 3 bps	72.7	▼ -108 bps	1.6	▼ -40 bps	0.6	▲ 21 bps
		9MFY24	2.2		2.4		29.7		2.2		73.8		2.0		0.3	
	 IDBI BANK	9MFY25	2.1	▲ 18%	2.8	▲ 9%	46.3	▼ -353.8bps	4.2	▼ -37 bps	44.5	▲ 63 bps	3.6	▼ -112 bps	2.0	▲ 43 bps
		9MFY24	1.8		2.6		49.9		4.3		43.9		4.7		1.6	
	 IDFC FIRST Bank	9MFY25	2.2	▲ 22%	2.4	▲ 30%	47.7	▲ 90.4bps	6.3	▲ 4 bps	71.3	▼ -73 bps	1.9	▼ -10 bps	0.5	▼ -67 bps
		9MFY24	1.8		1.8		46.8		6.5		72.0		2.0		1.2	
	 Bandhan Bank	9MFY25	1.3	▲ 10%	1.4	▲ 20%	31.7	▼ -438.8 bps	6.9	▲ 39 bps	47.1	▲ 89 bps	4.7	▼ -234 bps	1.9	▲ 43 bps
		9MFY24	1.2		1.2		36.1		7.2		46.2		7.0		2.1	
	 RBL BANK	9MFY25	0.9	▲ 13%	1.1	▲ 15%	32.8	▼ -98.2 bps	4.9	▼ -6 bps	64.1	▼ -346 bps	2.9	▼ -20 bps	0.6	▼ -12 bps
		9MFY24	0.8		0.9		33.8		5.0		67.6		3.1		0.9	

Note: All figures are global, unless stated otherwise; Calculated ratios may not match with reported figures due to differences in formula

1. NIM is calculated as NII as a % of average total assets; Return on assets is calculated a net profit as a % of average total assets 2. CIR is calculated as Opex by Total Income (NII + Other Income)

3. "Domestic" CASA Ratio

Source: RBI; Capitaline; Press releases; BCG analysis

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Change vs. last year



Individual player performance (II/IV)-Standalone

	Period	Net Advances Rs Lakh Cr	Deposits Rs Lakh Cr	CASA Ratio ³ (%)	NIM ¹ (%)	CIR ² (%)	GNPA (%)	ROA ¹ (%)
PSU Banks	9MFY25	40.0 ▲ 14%	52.3 ▲ 10%	39.2 ▼ -198 bps	2.6 ▼ -12 bps	51.0 ▼ -640 bps	2.1 ▼ -35 bps	1.1 ▲ 3 bps
	9MFY24	35.2	47.6	41.2	2.8	57.4	2.4	1.0
	9MFY25	10.7 ▲ 17%	15.3 ▲ 16%	38.1 ▼ -435 bps	2.6 ▼ -7 bps	54.0 ▲ 167 bps	4.1 ▼ -125 bps	1.0 ▲ 53 bps
	9MFY24	9.2	13.2	42.5	2.7	52.3	6.2	0.5
	9MFY25	11.5 ▲ 12%	13.9 ▲ 12%	39.7 ▼ -101 bps	2.8 ▼ -12 bps	47.3 ▲ 13 bps	2.4 ▼ -65 bps	1.2 ▲ 6 bps
	9MFY24	10.2	12.5	40.7	3.0	47.1	3.1	1.2
	9MFY25	10.2 ▲ 11%	13.7 ▲ 8%	30.0 ▼ -165 bps	2.4 ▼ -11 bps	47.2 ▲ 118 bps	3.3 ▼ -105 bps	1.0 ▲ 1 bps
	9MFY24	9.2	12.6	31.7	2.6	46.0	4.4	1.0
	9MFY25	9.2 ▲ 7%	12.2 ▲ 4%	33.4 ▼ -97 bps	2.7 ▼ -15 bps	44.2 ▲ 54 bps	3.9 ▼ -98 bps	1.3 ▲ 16 bps
	9MFY24	8.6	11.7	34.4	2.8	43.7	4.8	1.1
	9MFY25	6.3 ▲ 17%	7.9 ▲ 12%	41.1 ▼ -270 bps	2.6 ▼ -21 bps	51.8 ▲ 74 bps	3.7 ▼ -166 bps	0.9 ▲ 14 bps
	9MFY24	5.4	7.1	43.9	2.7	51.0	5.4	0.8
	9MFY25	5.4 ▲ 11%	7.0 ▲ 7%	41.1 ▼ -110 bps	3.2 ▼ -5 bps	44.7 ▼ -50 bps	3.3 ▼ -121 bps	1.3 ▲ 27 bps
	9MFY24	4.9	6.5	40.0	3.2	45.2	4.5	1.1
	9MFY25	2.6 ▲ 13%	4.0 ▲ 5%	49.1 ▲ 20 bps	3.1 ▲ 14 bps	57.9 ▼ -39 bps	3.9 ▼ -64 bps	0.8 ▲ 32 bps
	9MFY24	2.3	3.8	48.9	3.0	58.3	4.5	0.6
Private Banks	9MFY25	2.3 ▲ 11%	3.1 ▲ 10%	43.4 ▼ -12 bps	2.8 ▼ -12 bps	48.3 ▼ -488 bps	2.6 ▼ -135 bps	0.8 ▲ 9 bps
	9MFY24	2.1	2.8	43.5	2.9	53.1	3.9	0.7
	9MFY25	2.0 ▲ 17%	2.8 ▲ 9%	35.9 ▼ -37.3 bps	2.8 ▲ 19 bps	56.4 ▼ -260 bps	2.9 ▼ -94 bps	0.7 ▲ 30 bps
	9MFY24	1.7	2.6	36.2	2.6	59.0	3.9	0.5
	9MFY25	2.2 ▲ 21%	2.8 ▲ 14%	49.3 ▼ -90.6 bps	3.7 ▲ 7 bps	38.3 ▲ 122 bps	1.8 ▼ -24 bps	1.8 ▲ 37 bps
	9MFY24	1.9	2.5	50.2	3.7	37.1	2.0	1.4
	9MFY25	0.9 ▲ 16%	1.3 ▲ 8%	31.2 ▼ -160.7 bps	2.4 ▲ 30 bps	64.6 ▼ -859 bps	3.8 ▼ -187 bps	0.6 ▲ 8 bps
	9MFY24	0.8	1.2	32.8	2.0	73.2	5.7	0.4

Note: All figures are global, unless stated otherwise; Calculated ratios may not match with reported figures due to differences in formula

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3. "Domestic" CASA Ratio

Source: RBI; Capitaline; Press releases; BCG analysis

xxx Change vs. last year



Individual player performance (III/IV)-Standalone

	Period	Net Advances Rs Lakh Cr		Deposits Rs Lakh Cr		CASA Ratio ³ (%)		NIM ¹ (%)		CIR ² (%)		GNPA (%)		ROA ¹ (%)		
Private Old Banks	 FEDERAL BANK YOUR PERFECT BANKING PARTNER	9MFY25	2.4	▲ 20%	2.7	▲ 11%	30.2	▼ -46.9 bps	3.0	▼ -4 bps	53.1	▲ 135 bps	2.0	▼ -34 bps	1.3	▼ -5 bps
	9MFY24	2.0			2.7		30.6		3.0		51.8		2.3		1.4	
	 J&K Bank	9MFY25	1.0	▲ 7%	1.4	▲ 10%	48.2	▼ -242.9 bps	3.7	▼ -10 bps	57.8	▼ -635 bps	4.1	▼ -76 bps	1.3	▲ 25 bps
	9MFY24	0.9			1.3		50.6		3.7		64.1		4.8		1.1	
	 Karnataka Bank Real Banking. Real Service. Real Bank.	9MFY25	0.8	▲ 12%	1.0	▲ 9%	30.3	▼ -68.4 bps	3.0	▼ -10 bps	56.9	▲ 637 bps	3.1	▼ -53 bps	1.2	▼ -5 bps
	9MFY24	0.7			0.9		31.0		3.1		50.6		3.6		1.3	
	 SOUTH INDIAN Bank	9MFY25	0.8	▲ 12%	1.1	▲ 6%	31.2	▼ -64.6 bps	3.0	▲ 0 bps	59.7	▼ -78 bps	4.3	▼ -44 bps	1.1	▲ 19 bps
	9MFY24	0.8			1.0		31.8		3.0		60.5		4.7		1.0	
	 KVB Karur Vysya Bank Smart way to bank	9MFY25	0.8	▲ 15%	1.0	▲ 16%	28.4	▼ -312.5 bps	4.1	▲ 3 bps	47.1	▼ -189 bps	0.8	▼ -75 bps	1.9	▲ 17 bps
	9MFY24	0.7			0.9		31.5		3.9		49.0		1.6		1.6	
	 CITY UNION BANK CUB	9MFY25	0.5	▲ 15%	0.6	▲ 11%	27.7	▼ -144.5 bps	3.3	▲ 3 bps	47.6	▲ 196 bps	3.4	▼ -111 bps	1.6	▲ 4 bps
	9MFY24	0.4			0.5		29.1		3.2		45.6		4.5		1.5	
	 TMB Tamilnad Mercantile Bank Ltd Be a step ahead of life	9MFY25	0.4	▲ 14%	0.5	▲ 8%	27.4	▼ -226.6 bps	3.7	▲ 0 bps	43.7	▼ -229 bps	1.3	▼ -37 bps	1.9	▲ 0 bps
	9MFY24	0.4			0.5		29.6		3.7		46.0		1.7		1.9	
	 DCB BANK	9MFY25	0.5	▲ 23%	0.6	▲ 20%	25.1	▼ -103.4 bps	3.1	▼ -45 bps	64.8	▲ 71 bps	3.1	▼ -32 bps	0.9	▼ -7 bps
	9MFY24	0.4			0.5		26.1		3.5		64.1		3.4		0.9	
	 CSB Bank Formerly The Catholic Syrian Bank Ltd.	9MFY25	0.3	▲ 26%	0.3	▲ 22%	24.1	▼ -351.2 bps	3.9	▼ -84 bps	65.0	▲ 234 bps	1.6	▲ 36 bps	1.4	▼ -44 bps
	9MFY24	0.2			0.3		27.6		4.9		62.7		1.2		1.9	
	 Dhanlaxmi Bank	9MFY25	0.1	▲ 11%	0.2	▲ 5%	30.5	▼ -56.0 bps	2.9	▼ -40 bps	88.1	▲ 660 bps	3.5	▼ -128 bps	0.3	▼ -46 bps
	9MFY24	0.1			0.1		31.1		3.1		81.5		4.8		0.5	

Note: All figures are global, unless stated otherwise; Calculated ratios may not match with reported figures due to differences in formula

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3. "Domestic" CASA Ratio

Source: RBI; Capitaline; Press releases; BCG analysis

xxx

Change vs. last year



Individual player performance (IV/IV)-Standalone

Small Finance Banks	Period	Net Advances Rs Lakh Cr		Deposits Rs Lakh Cr		CASA Ratio ³ (%)		NIM ¹ (%)		CIR ² (%)		GNPA (%)		ROA ¹ (%)	
	9MFY25	1.0	▲ 49%	1.1	▲ 10%	30.6	▼ 478 bps	7.8	▲ 89 bps	56.9	▼ -637 bps	2.3	▲ 33 bps	2.1	▲ 1 bps
	9MFY24	0.7		1.0		25.9		5.6		63.3		2.0		1.7	
	9MFY25	0.4	▲ 21%	0.4	▲ 25.8%	28.6	▼ -406.8 bps	7.0	▼ -140 bps	67.1	▲ 224 bps	3.0	▲ 44 bps	0.3	▼ -205 bps
	9MFY24	0.3		0.3		32.7		8.3		64.8		2.5		2.1	
	9MFY25	0.3	▲ 16%	0.3	▲ 16%	25.1	▲ -35.6 bps	8.7	▼ -71 bps	60.3	▲ 651 bps	2.7	▲ 50 bps	2.0	▼ -139 bps
	9MFY24	0.3		0.3		25.5		9.4		53.8		2.2		3.6	
	9MFY25	0.1	▲ 30%	0.1	▲ 50%	19.5	▼ 100.8 bps	9.2	▲ 48 bps	66.4	▲ 490 bps	5.5	▲ 247 bps	1.6	▼ -14 bps
	9MFY24	0.1		0.1		18.5		9.2		61.5		3.1		2.1	

Note: All figures are global, unless stated otherwise; Calculated ratios may not match with reported figures due to differences in formula

1. NIM is calculated as NII as a % of average total assets; Return on assets is calculated a net profit as a % of average total assets 2. CIR is calculated as Opex by Total Income (NII + Other Income)

3. "Domestic" CASA Ratio

Source: RBI; Capitaline; Press releases; BCG analysis

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Change vs. last year

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